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Ducera Quarterly Update

Q4 2025

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I. Letter from our CEO

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Letter from our CEO

Dear Clients and Friends,

We are pleased to share Ducera's Q4 2025 Update.

2025 kicked off with elevated optimism, but was defined by volatility, shifting assumptions, and repeated market resets. While uncertainty has not disappeared, the environment is beginning to stabilize, and optimism has generally returned to kick off 2026. Capital markets remain nuanced, but across ***mergers and acquisitions, restructuring / liability management***, and ***private capital***, we are seeing clearer signals and a more constructive backdrop for disciplined strategic action.

As we enter 2026, markets are rewarding preparation, realism, and decisiveness. Inflation has moderated, interest rate visibility has improved, and capital remains readily available for well reasoned and well-structured transactions. This is not a market for complacency. It is a market that favors clarity of thinking and disciplined execution. We expect M&A to continue broadening beyond necessity-driven and portfolio rationalizing deals toward more offensive, growth-oriented transactions. Restructuring activity is likely to persist but shift further toward proactive balance sheet optimization and liability management. Private Capital will remain an essential partner for companies navigating complexity or pursuing transformational initiatives. For companies and investors prepared to act, this should be a productive year.

Mergers & Acquisitions

While the overall global and U.S. mergers and acquisitions (M&A) market saw a significant year-over-year increase in 2025, this growth was concentrated in the second half of the year, and related to larger transaction announcements as the number of annual transactions has yet to recover. Following a slow start to the year due to broad policy and market volatility, the market then accelerated meaningfully even as equity markets hit nearly 40 new highs, and policy and economic uncertainties persisted. M&A activity in 2025 was characterized by strategic buyers with strong balance sheets and greater confidence, aggressively engaging with the market, particularly where acquisitions advanced core capabilities, enhanced scale, or unlocked operational efficiencies, and sponsors selectively pursuing scaled acquisition opportunities.

Valuation gaps have not disappeared entirely, but buyers and sellers are increasingly aligning around realistic price discovery, utilizing structure and creative risk-sharing mechanisms to bridge gaps. Sponsor-led activity remains measured, yet private equity continues to engage actively in add-on acquisitions, carve-outs, and platform transformations where conviction is high and underwriting assumptions are grounded.

The fundamentals of 2025 have set a solid foundation for transactional activity to remain robust in 2026. Higher economic confidence, massive capital availability, more pragmatic valuation expectations in certain sectors, the willingness to use structured consideration, and a focus on the pursuit of growth to drive long-term value creation should fuel transactional activity. We anticipate that M&A will continue to evolve, with companies seeking not only to address immediate needs but also to position themselves for sustainable competitive advantage and innovation.

Financial Restructuring and Liability Management

Restructuring dynamics continue to evolve, rewarding foresight and creativity. The complexity of capital structures, rather than leverage alone, is now the primary determinant of outcomes. Successful execution increasingly depends on key stakeholder coordination and coalition building, both in-and out-of-court. While liability management tools remain powerful, their effectiveness hinges on thoughtful structuring, a refined understanding of evolving legal considerations, creditor behavior, and business plan juxtaposition.

The corporate restructuring market remains active, nuanced, and increasingly shaped by capital structure intricacies rather than pure liquidity crises. Tighter underwriting standards, uneven operating performance within sectors, a flight to quality rescue capital, and maturity walls continue to expose balance-sheet fragility across sectors and drive a sustained demand for restructuring, bankruptcy, and liability management solutions. The nature of capital structure solutions has evolved. We continue to see earlier engagement by management teams and creditors, increased reliance on out of court solutions, and a greater emphasis on balance sheet right sizing rather than reactive liquidity management.

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Letter from our CEO

Distress is increasingly concentrated in specific industries and themes. For stakeholders willing to engage decisively and proactively, there are meaningful opportunities to preserve and, in some cases, create enterprise value while reducing financial risk. At the same time, as the costs, uncertainty, and duration associated with Chapter 11 have increased, traditional bankruptcy filings are increasingly becoming a last resort rather than a first response. To offset this shift in sentiment, liability management and out-of-court restructurings have continued to gain traction as preferred mechanisms for addressing financial stress. These transactions are frequently highly engineered, prioritize speed and certainty, and incorporate elements of game theory to align incentives while minimizing the costs and disruptions associated with Chapter 11 filings.

Liability management solutions allow issuers to address near term maturities, reduce cash interest burdens, enhance equity value, and reposition capital structures without triggering formal insolvency proceedings. The growing sophistication of these transactions has been accompanied by heightened creditor tension, increased litigation, and greater focus on documentation and intercreditor rights. Notwithstanding the foregoing, the maturation of Liability Management products continues to create unique opportunities for market participants. The product's technology has evolved to a unique amalgamation of leveraged finance concepts coupled with restructuring-lite strategies that are familiar to CFO's and other decision makers.

Looking ahead to 2026, we expect restructuring and liability management activity to remain robust. These tools will continue to serve not only as alternatives to formal restructuring processes, but also as mechanisms for addressing balance sheets that remain fundamentally healthy yet are showing early signs of credit deterioration. While financing markets have selectively reopened, access to capital remains uneven, and a significant volume of debt maturities lies ahead over the next 24 to 36 months. We anticipate continued bifurcation between companies able to proactively manage liabilities and those forced into more formal restructuring processes. In this environment, early engagement, creativity, and decisive execution will be essential to preserving value for all stakeholders.

Private Capital

Private capital remained a critical source of liquidity throughout 2025, including Q4. Credit funds, private lenders, and hybrid capital providers played an outsized role in financing where traditional markets were less accommodating. Capital flows have outpaced deployment opportunities, driving the cost of capital down and bringing private vs. public markets closer to parity. While pricing and terms remain disciplined, capital is available for businesses with compelling fundamentals, clear use of proceeds, and credible execution plans.

Private Capital lenders are continuing to look for ways to compete with broadly syndicated markets. This has led to more jumbo loans being funded, acceptance of increased leverage levels, and more flexibility on terms, including PIK interest, delayed draw facilities, portability, and more aggressive covenant packages. This increased flexibility is extending beyond traditional direct lending deals to include opportunistic, asset-based financings, preferred instruments, structured equity, and other bespoke financings designed to bridge companies through periods of transition. Private credit continues to offer an attractive alternative to the syndicated markets, offering issuers of all types (including sponsor-backed, private owned, and publicly traded) certainty of funding and customization.

Private credit remained highly active amid an uptick in M&A activity in 2025. Continued capacity to support large-scale financings led to 38 deals that were over $1bn being announced in 2025. Private credit saw opportunities both to finance M&A as well as provide an alternative, such as dividend recaps.

Within existing private credit portfolios, we are seeing early signs of stress in the underlying credits as the use of post-origination PIK interest has increased. 2025 saw a significant increase in the dollar volume of loans converted into controlling ownership in the underlying companies. Early stages of secondary efforts in private credit as an asset class continue to develop and is a focus for both potential buyers and sellers.

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Letter from our CEO

Looking Ahead

In the current environment, experience, judgment, and creativity matter more than ever. Structure and alignment are critical. The ability to anticipate and manage second order consequences increasingly separates successful outcomes from mediocre ones.

As we enter 2026, the convergence of macroeconomic forces, sector specific dynamics, and increasingly complex capital structures and financing alternatives will continue to challenge decisionmakers. Where uncertainty remains, so does opportunity.

At Ducera, we remain focused on helping clients navigate complexity, make informed decisions, and execute strategies that create durable value. We appreciate the trust you continue to place in us and look forward to partnering with you in the year ahead.

Michael A. Kramer

Michael A. Kramer
Partner and Chief Executive Officer
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II. Recent Transactions

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Recent Transactions

Advisor to an Ad Hoc Group of Creditors of Bausch Health Companies in Connection with its $1.6bn Exchange

BAUSCH+ Health

Restructuring

- Ducera has acted as a long-standing advisor to an ad hoc group comprised of both secured and unsecured Bausch Health Companies ("BHC") creditors (the "AHG")
- Certain members of the AHG, along with a majority of BHC's creditor base, entered into a cooperation agreement ("Co-Op") in May 2024 to coordinate engagement with BHC
- In December 2025, BHC completed a $1.6 billion exchange of its outstanding 4.875% Senior Secured Notes due 2028 and 11% Senior Secured Notes due 2028 for new 10% Senior Secured Notes due 2032
- The transaction—with certain AHG member participation—was significantly oversubscribed, with ~$2.7 billion of secured notes tendered; BHC accepted ~$1.7 billion, successfully extending a material portion of its near-dated secured maturities
- Ducera's leadership helped creditors navigate Co-Op dynamics and facilitate participation in a transaction that provided participating lenders with enhanced security in exchange for extending BHC's near-term secured maturities

Advisor to the California Public Utilities Commission in Connection with Edison's $1.6 Billion Securitization

SOUTHERN CALIFORNIA EDISON
An EDISON INTERNATIONAL Company

Securitization

- Ducera advised the California Public Utilities Commission ("CPUC") Finance Team on Southern California Edison's ("Edison") $1.6 billion Securitized Recovery Bonds ("Bonds"), issued on December 1, 2025, for settlement costs from the 2017 Thomas Fire and Montecito Debris Flow
  - This transaction represented Edison's first issuance in connection with SB 901, signed into law in 2018, which permits California Investor-Owned Utilities ("IOUs") to recover catastrophic wildfire costs and expenses that occurred in 2017
  - Ducera advised the Finance Team, established by the CPUC, on this issuance in addition to three prior Edison issuances in connection with AB 1054 ($775 million in April 2023, $533 million in February 2022, and $338 million in February 2021)
  - The Bonds represent the largest utility securitization completed in 2025
- Ducera provided comprehensive guidance to the Finance Team, covering the Financing Order, bond structuring, marketing, and pricing of the securitization issuance

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Recent Transactions (cont'd)

Advisor to the AHC of Secured Noteholders in Connection with Cannabist's $130 Million Sale of VA Assets to Millstreet

THE CANNABIST COMPANY

Restructuring

- Since mid-2024, Ducera has advised the Ad Hoc Committee of Senior Secured Noteholders ("AHC") to The Cannabist Company Holdings Inc. ("CBST"), effectuating a prior amend & extend transaction which collapsed secured notes due 2025, 2026, and 2027 into one class due 2028 and provided significant economic, structural, and governance enhancements
  - The transaction provided CBST with runway necessary to explore value-maximizing alternatives and complete certain operational adjustments
- In late 2025, Ducera began advising the AHC on a value-maximizing sale of CBST's assets as it became clear that CBST was unlikely to make its interest payment due 4Q25
- As CBST was preparing to sell its "crown jewel" Virginia assets, the Ducera team steered CBST from a unilateral exclusivity process to a consensual auction process that maximized value for noteholders
  - After CBST entered exclusivity with Curaleaf, Ducera negotiated to recast Curaleaf as a stalking horse bidder, while bringing in other parties of interest to set up a competitive auction
  - Following a lengthy auction, an affiliate of Millstreet Credit Fund LP won with a $130mm all-cash bid for the VA assets – representing a material uplift vis a vis Curaleaf's initial $110mm bid (of which only $80mm was up-front cash consideration)
- Ducera is continuing to advise the AHC on the monetization of the rest of CBST's assets

Advisor to the AHC of Secured Noteholders of PharmaCann in connection with the sale of its Colorado business

PHARMACANN

Restructuring

- Ducera Partners ("Ducera") advised the Ad Hoc Committee of Secured Noteholders (the "AHC") of PharmaCann Inc. in connection with the sale of PharmaCann's Colorado retail cannabis business to Vireo Growth Inc. for approximately $49 million in Vireo equity, subject to customary working capital and inventory adjustments
- The transaction represents the first announced sale in a broader, creditor-led, state-by-state monetization strategy designed and implemented by Ducera to maximize recoveries and effect an orderly wind-down of PharmaCann's operations
- Ducera played a central role in structuring and executing the transaction, including development of state-specific marketing materials, management of buyer outreach and diligence, bid evaluation, and negotiation of key economic and structural terms
- To address regulatory timing considerations, Ducera worked with the parties to structure a Management Services Agreement pursuant to which a Vireo subsidiary will operate the Colorado assets through closing, subject to required approvals

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III. Macro Trends

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Executive Summary

		Summary	Key Indicators
Equity and Credit Markets *(pg. 18-22)*	**Equity**	▪ U.S. equities posted solid gains in 4Q25, driven by large-cap technology growth, and continued investor optimism around AI-led productivity gains ▪ The FTSE100 rose 22% year-over-year, showing slightly improved gains compared to domestic markets	S&P and NASDAQ gained **16%** and **20%** YoY
	Credit	▪ In 4Q25, U.S. Treasury yields drifted lower at the front end while remaining elevated at the long end, reflecting easing inflation expectations alongside persistent fiscal concerns ▪ Credit markets remained constructive, with steady risk appetite and selective risk-taking reflected in BB yields near 5.5%, single-B yields around 6.7%, and CCC yields approximately 12.4%	2-year Treasury yield: **3.5%** 10-year Treasury yield: **4.2%** 30-year Treasury yield: **4.8%**
	Crypto	▪ In 4Q25, crypto markets demonstrated weaker year-over-year performance for both Bitcoin and Ethereum, reflecting a more challenging macro and regulatory backdrop[1]	Ethereum & Bitcoin decreased **6%** and **11%** YoY
	Market Dynamics & Outlook	▪ Equity markets remained meaningfully higher year-over-year but softened modestly in recent weeks as of the quarter end, as several major indices declined versus prior week and month levels following a strong run-up in 2025	
M&A and Investment Activity *(pg. 23-31)*	**Transaction Value and Deal Count**	▪ Global M&A value increased ~25% QoQ amid a ~2% decline in deal volume, underscoring continued concentration in large-cap transactions ($5bn+) ▪ The U.S. continued to anchor global activity, with deal value rising ~33% QoQ on the back of mega-cap deals, despite a ~16% decline in overall deal volume	**42%** increase in global M&A transaction value YoY
	Sector Activity	▪ The M&A recovery broadened in 4Q25, with deal value rising across all sectors ▪ The Technology sector led activity, fueled by competition among large strategic buyers for high-quality assets, representing ~$1.2tn (or 22%) of announced deal value	**4/10** of 2025's largest deals were in tech
	Private Equity	▪ Financial sponsor participation held steady at ~35% of global transaction value in 4Q25, narrowing the gap to its Covid peak and signaling a measured, selective recovery ▪ Activity remained focused on high-quality assets, with private equity represented in two of the ten largest transactions in 4Q25 and the year overall ▪ Conditions remain supportive of a continued market rebound, as sponsor portfolios grow increasingly long-dated (median hold period of 3.9 years, the highest since 2011, with ~30% of assets held for seven years or longer), alongside substantial dry powder totaling ~$1.7tn	Sponsor participation held at **~35%,** with PE in 2 of 2025's top ten deals

Source: PitchBook
Note:
(1) Cryptocurrency markets are subject to high volatility and regulatory uncertainty

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Executive Summary (cont'd)

		Summary	Key Indicators
Capital Markets and Private Credit *(pg. 32-44)*	**Syndicated Markets**	▪ Leveraged loan and high yield markets were constructive for most the year, apart from volatility seen in April due to Liberation Day and uncertainty around tariff policy ▪ Both markets were supportive of opportunistic refinancings, repricings, and dividend recaps, along with a meaningful uptick in M&A / LBO related issuance as corporates and sponsors announced several large-scale transactions in the back half of the year ▪ Market participants expect another constructive year in 2026 as M&A activity is projected to increase in both size and volume	Loans Above Par at YE: **58.0%** Lev Loan Fund Flows: **(34%) YoY** Lev Loan Issuance: **(27%) YoY**
	Private Credit Market Growth	▪ Global AUM surpassed $1.8 trillion and is on track to hit $4.5 trillion by 2030, fueled by expansion into Investment Grade (Private IG) and asset-backed strategies ▪ Private credit markets remain flush with cash and competition for new assets has intensified given the relative strength of syndicated markets ▪ This resulted in downward pressure on spreads as the market was generally undersupplied throughout the year, benefiting issuers pursuing opportunistic or M&A driven transactions ▪ Expectations for 2026 are high given the significant dry powder positions for both lenders and financial sponsors	$1bn+ deals announced in 2025: **38** Private credit AUM: **$1.8tn** Projected AUM Growth (2025-2030): **12.0%**
	Issuance Trends	▪ Loan issuance fell ~27% YoY, though this was largely due to lower repricing activity. Net-new money deals increased due to a pickup in M&A / LBO activity during 2H25 ▪ High yield issuance increased 20% YoY as corporates took advantage of tight credit spreads and falling yields to extend maturities and opportunistically raise dry powder ▪ Capital formation was plentiful throughout the year as CLO managers continued to see heightened demand for loan assets ▪ High yield flows were down slightly in 2025 primarily due to extreme outflows in April; however, inflows were sustained thereafter and totaled ~$27bn through the end of the year	Record CLO Issuance: **$209bn** Decline in 10-Year Treasury: **(40 bps)** Increased HY Issuance: **+20% YoY**
Distressed Opportunity Indicators *(pg. 45-48)*	**Rating Activities**	▪ Upgrade and downgrade activity varied across Moody's and S&P, with Moody's at 1.3x and S&P at 0.9x. Year end upgrade/downgrade ratios fell from 1.2x to 0.9x for Moody's and increased slightly from 1.0x to 1.1x for S&P	Moody's & S&P's upgrade/ downgrade ratios: **1.3x** & **0.9x**
	Distressed Debt Tracker	▪ Ducera's distressed debt company tracker identified the following sectors with most debt trading in stressed / distressed levels: telecom (~$20.2bn of distressed debt), software and consulting (~$16.7bn of distressed debt), and chemicals (~$16.5bn of distressed debt)	Telecom sector: **~$20bn** of distressed debt

Source: PitchBook
Note:
(1) Cryptocurrency markets are subject to high volatility and regulatory uncertainty

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i. Cary Street CIO In Your Corner

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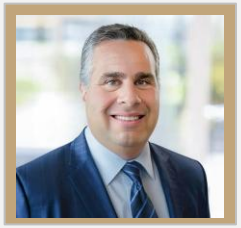
CIO in Your Corner, Cary Street Partners 2026 Outlook

Strong Markets And Higher Expectations Require Discipline in 2026

Investors are starting 2026 with high return expectations after a year of extraordinary performance. In 2025, U.S. equity markets delivered double-digit gains for the sixth time in seven years, yet still underperformed international equities. The U.S. bond market also posted solid gains, delivering its best performance since 2020.[1]

While the results were encouraging, the journey was uneven. In 2025, markets contended with tariff announcements, economic policy uncertainty, geopolitical tensions, and a shifting U.S. economy. These factors resulted in periods of significant volatility and several sharp pullbacks. By year-end, however, investors who remained focused on long-term goals and avoided reactionary decisions were rewarded with meaningful progress. As a result, many enter the new year in a stronger position, with greater financial flexibility.

Strong markets, however, can carry a hidden risk: rising expectations. After several years of above-trend growth, markets may be entering a more normalized phase that rewards patience, selectivity, and discipline, rather than momentum. The key question is not whether and how much markets will rise in 2026, but how investors can maintain perspective, manage risk thoughtfully, and continue moving forward amid change.



Matthew L. Rubin

CIO, Cary Street Partners

O: 973-755-4165

E: matthew.rubin@carystreetpartners.com

Cary Street Partners is a leading RIA with $12 billion AUM. Ducera has invested in and maintains a strategic partnership with Cary Street Partners since 2019

2026 Outlook: Seven Key Themes For Long Term Investors

With the investment landscape potentially shifting, we believe the 2026 outlook is best approached through a set of guiding themes, rather than precise predictions. These themes, outlined below, help frame expectations, highlight risks, and reinforce the importance of discipline and planning.

Notes: Article received 1/8/2025; published as 2025 year recap

(1) Y Charts

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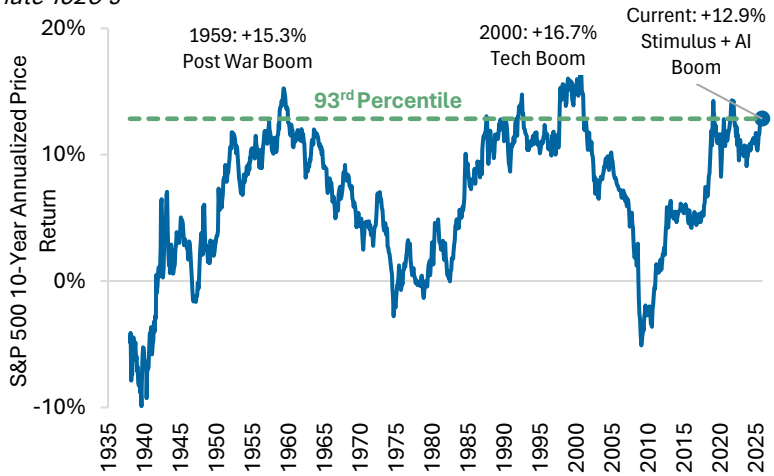
CIO in Your Corner, CSP 2026 Outlook (cont'd)

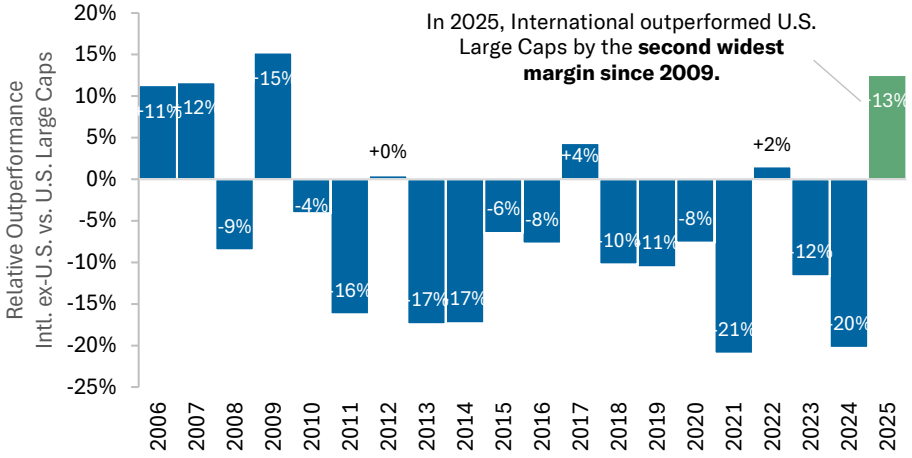
10-Year Annualized Price Return of S&P 500

The recent S&P 500 performance has been among the greatest since the late 1920's



International Markets Outperform Domestic in 2025

International stocks outperformed U.S. equities, driven by a weaker dollar & strong earnings growth



1) Diversification Is In Favor Again

For much of the past decade, U.S. equities dominated returns and diversification often felt unnecessary. That dynamic shifted in 2025, when international equities and bonds outperformed their U.S. counterparts. The S&P 500 returned 17.9% while the MSCI EAFE delivered a notably stronger 31.2%. Likewise, international bonds, represented by the Bloomberg Global Agg ex U.S., gained 8.9% compared with a 7.3% return from the Bloomberg U.S. Agg.[1]

Market volatility during the year served as a reminder that diversification does not eliminate risk, but it can help smooth outcomes and reduce reliance on any single market or asset class. Leadership cycles are difficult to predict, but history shows that market leadership changes over time. Maintaining global diversification is not about chasing recent performance. Instead, it is about building resilience across different market environments.

2) Stock Valuations Are Elevated

Strong market performance has pushed equity valuations higher, particularly in the United States. The S&P 500 Index now trades at a forward price-to-earnings ratio of 22x near the upper end of its historical valuation range, reflecting optimism about earnings growth, innovation, and economic resilience.[1]

Elevated valuations are worth noting, but they do not signal an immediate market decline. Markets can remain expensive for extended periods, especially when earnings continue to grow. However, higher valuations tend to change the forward return profile, often leading to greater volatility and a more modest return outlook. In this environment, balance and selectivity matter more than momentum.

Source: Y Charts
Note:
(1) Y Charts

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CIO in Your Corner, CSP 2026 Outlook (cont'd)

3) Artificial Intelligence Continues to Drive Growth, But Expectations Are Higher

Artificial intelligence (AI) remains one of the most influential forces shaping markets and the global economy. Investment in infrastructure and development continues at a rapid pace, and AI's long-term potential remains significant.

As the AI market begins to mature, however, investors are seeking to differentiate among companies. Execution, profitability, and financial discipline are increasingly important. Moreover, because diversified portfolios already have meaningful exposure to the AI investment theme through broad market indices, it is critical to avoid excessive concentration in related stocks.

4) Economic Growth Remains Positive, But Uneven

Consumer spending held up better than many expected in 2025, supporting overall activity despite elevated interest rates and affordability pressures. At the same time, U.S. GDP growth is gradually reverting toward longer-term trend levels between 1.8–2.3% per year. This transition can feel uncomfortable, but it does not signal economic weakness. For investors, it reinforces the importance of separating broader economic signals from individual experiences and avoiding overreaction to short-term data points.[1]

5) Tariff and Trade Concerns Are More Nuanced Than Headlines Suggest

Trade policy and tariffs drew significant attention in 2025, raising concerns about inflation, growth, and supply chains. While these issues remain relevant, their economic impact has been more muted than many initially feared.

Despite tariff-related noise, inflation remained relatively stable and growth continued. Businesses and markets adapted over time by adjusting supply chains and pricing. It is also worth noting that if existing tariffs were overturned by the Supreme Court, such a development could prove to be an additional stimulus for equity markets overall. The key lesson for investors is to avoid reacting to policy announcements in isolation. Long-term investment outcomes are shaped by how markets respond, not by headlines alone.

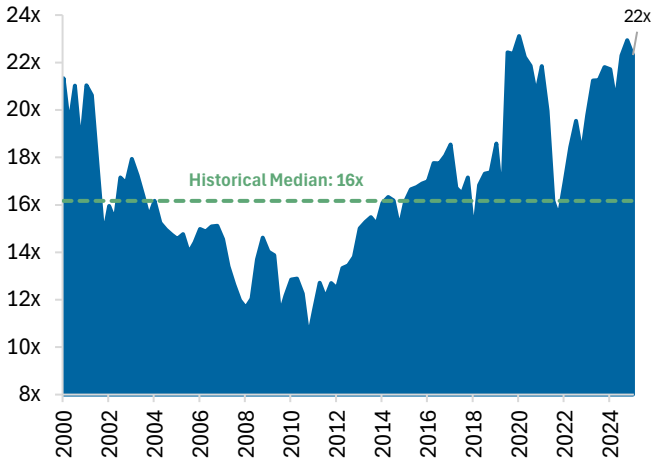
6) Political Developments Will Create Headlines, Not a Market Roadmap

The year ahead will bring no shortage of political news, including midterm elections, ongoing discussions about government debt, and changes to tax policy. While these developments matter for planning, history shows that markets have advanced across a wide range of political environments.

Attempting to position portfolios around political outcomes has rarely proven effective. What investors can control is ensuring that financial plans remain flexible, tax-aware, and aligned with long-term objectives as policies evolve.

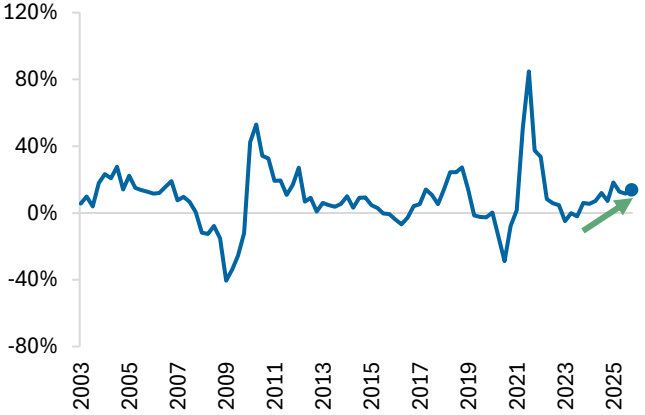
Next 12-Month Price-to-Earnings Multiple

S&P 500 valuations remain near all-time highs...



Year-over-Year Change in Quarterly EPS

...as corporate earnings growth remains strong



Source: Y Charts
Note:
(1) Y Charts

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CIO in Your Corner, CSP 2026 Outlook (cont'd)

7) The Federal Reserve Will Continue to Support The Economy

Monetary policy will remain an important focus in 2026, particularly as markets adjust to a more stable interest-rate outlook. As inflation pressures ease, interest rates are becoming less of a headline risk and more of a portfolio input.

Later this year, the Federal Reserve (Fed) is expected to transition to new leadership. While any change at the Fed draws attention, history shows that economic growth and market progress have persisted across multiple chairs and policy regimes. The institution's broader mandate, rather than any single individual, has typically mattered far more for long-term outcomes.

This environment has improved the opportunity set across both equities and fixed income. After years when price appreciation dominated returns, portfolio income is likely to contribute a larger share of total returns going forward.

Maintaining Perspective And A Focus On Long Term Goals

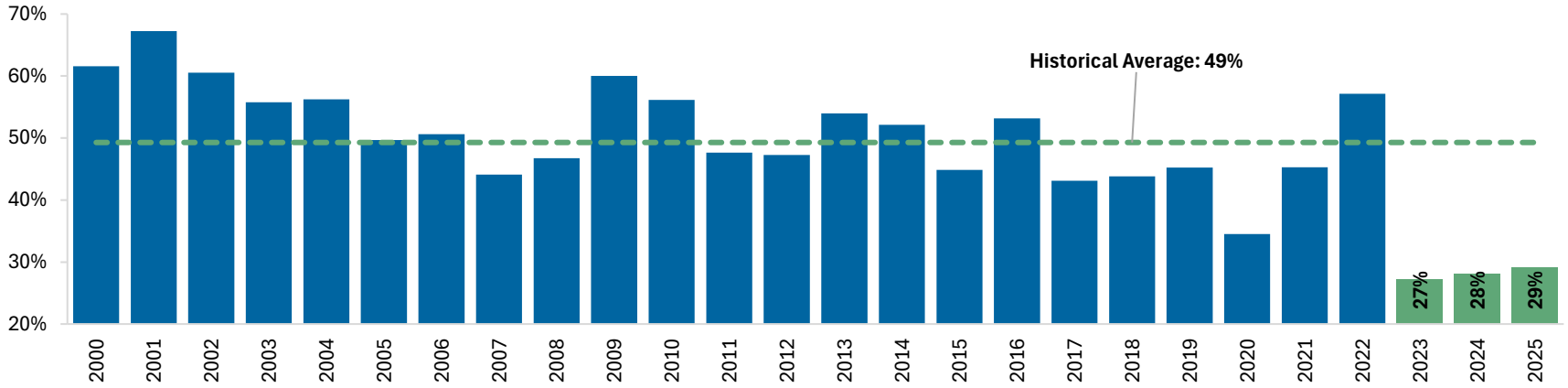
One of the most consistent lessons from market history is that the risks investors fear most often fail to materialize as expected. This does not mean risks should be ignored. Elevated valuations, global uncertainty, and uneven growth all warrant attention.

After a strong run in markets, this is an appropriate time to step back, review financial plans, and ensure portfolios remain aligned with goals, risk tolerance, and time horizon. For many investors, this includes reviewing asset allocation, rebalancing portfolios that have drifted, and reassessing the role of income within portfolios. These steps are often most effective when taken proactively rather than during periods of market stress.

After last year's strong returns, markets in 2026 face a higher bar than in previous years. Expectations are elevated, leadership may continue to rotate, and uncertainty will remain a constant feature of the investment landscape. Even so, the principles that support long-term success remain unchanged. Diversification, discipline, and a focus on long-term goals continue to matter.

Fewer S&P 500 Stocks Are Beating the Index

Leadership has narrowed, with a few tech giants carrying the bulk of the S&P 500 gains



Source: Y Charts

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ii. Equity & Credit Markets

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Capital Markets Performance Dashboard

Summary Capital Markets Performance

Index / Metric	Current 12/31/25	1 Week Ago[1] 12/24/25	End of Last Month 11/30/25	End of 2024 12/31/24	2025 Tights	2025 Wides	Delta to Current vs. 12/24/25	11/30/25	12/31/24	Tights	Wides
Equity Markets											
S&P 500	6,846	6,932	6,849	5,882	4,983	6,932	(1.25%)	(0.05%)	16.39%	37.38%	(1.25%)
Dow Jones	48,063	48,731	47,716	42,544	37,646	48,731	(1.37%)	0.73%	12.97%	27.67%	(1.37%)
NASDAQ	23,242	23,613	23,366	19,311	15,268	23,958	(1.57%)	(0.53%)	20.36%	52.23%	(2.99%)
Russell 2000	6,168	6,333	6,214	5,543	4,376	6,438	(2.60%)	(0.74%)	11.29%	40.96%	(4.20%)
Other Macro											
VIX	14.95	13.47	16.35	17.35	12.77	52.33	10.99%	(8.56%)	(13.83%)	17.07%	(71.43%)
WTI ($/bbl)	$57.40	$58.72	$58.67	$72.44	$55.44	$80.73	(2.25%)	(2.16%)	(20.76%)	3.54%	(28.90%)
High Yield											
BB: YTW	5.50%	5.56%	5.59%	6.43%	5.50%	7.15%	(6 bps)	(9 bps)	(93 bps)	-	(165 bps)
BB: STW	171 bps	172 bps	176 bps	186 bps	156 bps	306 bps	(1 bps)	(5 bps)	(15 bps)	15 bps	(135 bps)
B: YTW	6.68%	6.70%	6.81%	7.54%	6.59%	8.88%	(2 bps)	(13 bps)	(86 bps)	9 bps	(220 bps)
B: STW	298 bps	296 bps	305 bps	296 bps	254 bps	486 bps	2 bps	(7 bps)	2 bps	44 bps	(188 bps)
CCC: YTW	12.35%	12.46%	12.58%	11.87%	11.32%	15.28%	(11 bps)	(23 bps)	48 bps	103 bps	(293 bps)
CCC: STW	873 bps	875 bps	894 bps	746 bps	690 bps	1137 bps	(2 bps)	(21 bps)	127 bps	183 bps	(264 bps)
Loans											
Leveraged Loan Index - Price	97.076	97.024	96.928	97.785	97.994	94.630	0.05%	0.15%	(0.72%)	(0.94%)	2.58%
Leverage Loan Index - Spread	395 bps	396 bps	399 bps	398 bps	387 bps	473 bps	(2 bps)	(5 bps)	(4 bps)	8 bps	(79 bps)
% of Loans Bid at or Above Par	57.94%	57.99%	49.25%	62.60%	68.24%	2.51%	(5 bps)	868 bps	(466 bps)	(1,030 bps)	5,542 bps
Base Rates											
3-month SOFR	3.65%	3.69%	3.79%	4.31%	3.65%	4.33%	(4 bps)	(14 bps)	(65 bps)	-	(68 bps)
2 Year Treasury Yield	3.48%	3.51%	3.49%	4.24%	3.42%	4.06%	(3 bps)	(2 bps)	(77 bps)	6 bps	(58 bps)
10 Year Treasury Yield	4.17%	4.13%	4.01%	4.57%	3.95%	4.58%	4 bps	15 bps	(40 bps)	21 bps	(42 bps)
30 Year Treasury Yield	4.84%	4.80%	4.66%	4.78%	4.54%	5.08%	5 bps	18 bps	6 bps	31 bps	(24 bps)

U.S. equities were flat / slightly down in December but posted solid returns YoY, largely driven by exuberance around AI

The Fed cut rates by 25 bps in December, but division amongst Fed members indicates potential for a slower pace moving forward. Markets are pricing in a 17% chance of a rate cut at the Fed's next meeting in January

Credit markets delivered another year of positive returns, with leveraged loans (+5.9%) and high yield (+8.5%) assets benefiting from a strong technical backdrop throughout the year

Sources: FactSet, FRED, PitchBook LCD (data as of 12/31/2025)

Note:

(1) If the date one week prior is a weekend or market holiday, refers instead to the preceding business day

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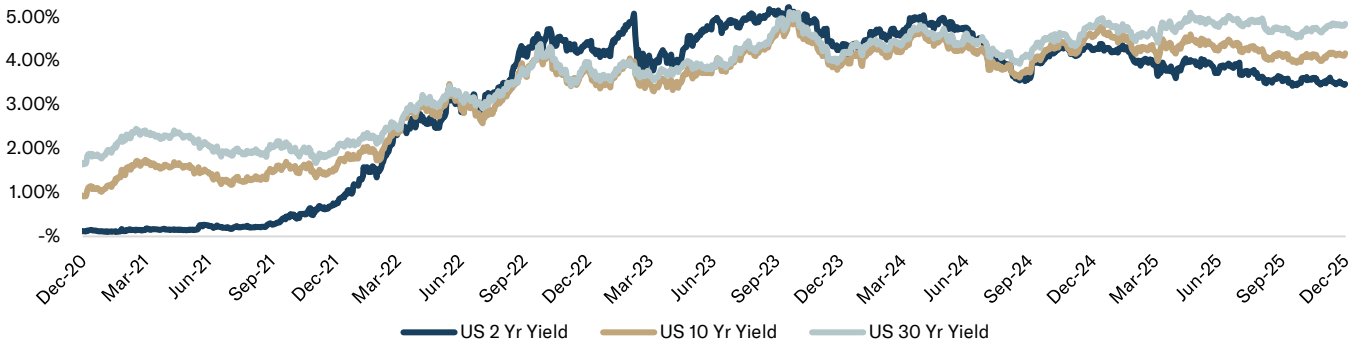
Credit Market Yields

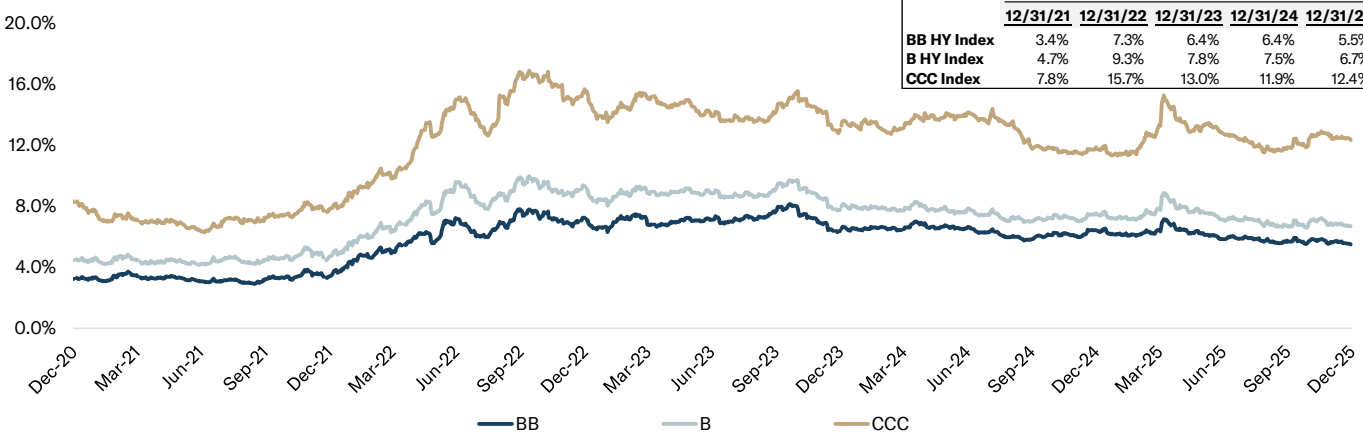
U.S. Treasury Yields Over Time

	YTM as of:						
	12/31/19	12/31/20	12/31/21	12/31/22	12/31/23	12/31/24	12/31/25
US 2 Yr Yield	1.57%	0.12%	0.73%	4.43%	4.25%	4.24%	3.47%
US 10 Yr Yield	1.92%	0.91%	1.51%	3.87%	3.88%	4.57%	4.17%
US 30 Yr Yield	2.39%	1.64%	1.90%	3.96%	4.03%	4.78%	4.84%
Memo: 2 / 10 Yr Spread	0.35%	0.79%	0.78%	(0.55%)	(0.37%)	0.33%	0.69%



U.S. High Yield YTW Over Time

	YTM at:				
	12/31/21	12/31/22	12/31/23	12/31/24	12/31/25
BB HY Index	3.4%	7.3%	6.4%	6.4%	5.5%
B HY Index	4.7%	9.3%	7.8%	7.5%	6.7%
CCC Index	7.8%	15.7%	13.0%	11.9%	12.4%



In 4Q25, U.S. Treasury yields drifted lower at the front end while remaining elevated at the long end, reflecting easing inflation expectations alongside persistent fiscal concerns. The 2-year yield declined to ~3.5%, while the 10-year and 30-year ended the year at ~4.2% and ~4.8%, respectively

Credit markets remained constructive, with BB yields at 5.5%, single-Bs near 6.7%, and CCCs near 12.4%; overall

Sources: Bloomberg, FRED BAML Indices

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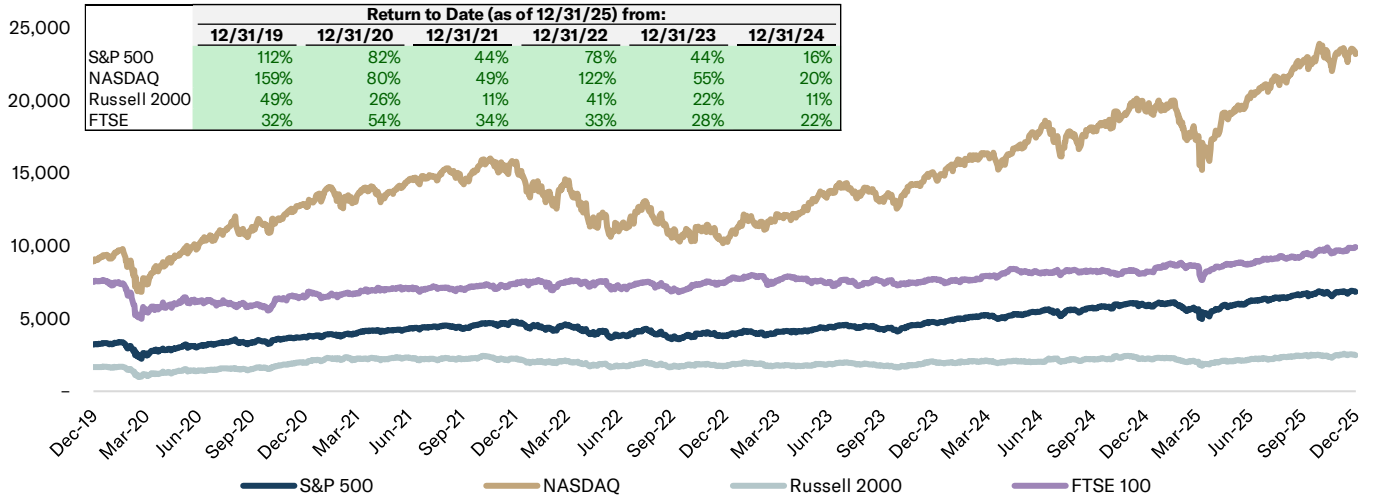
Equity and Crypto Markets

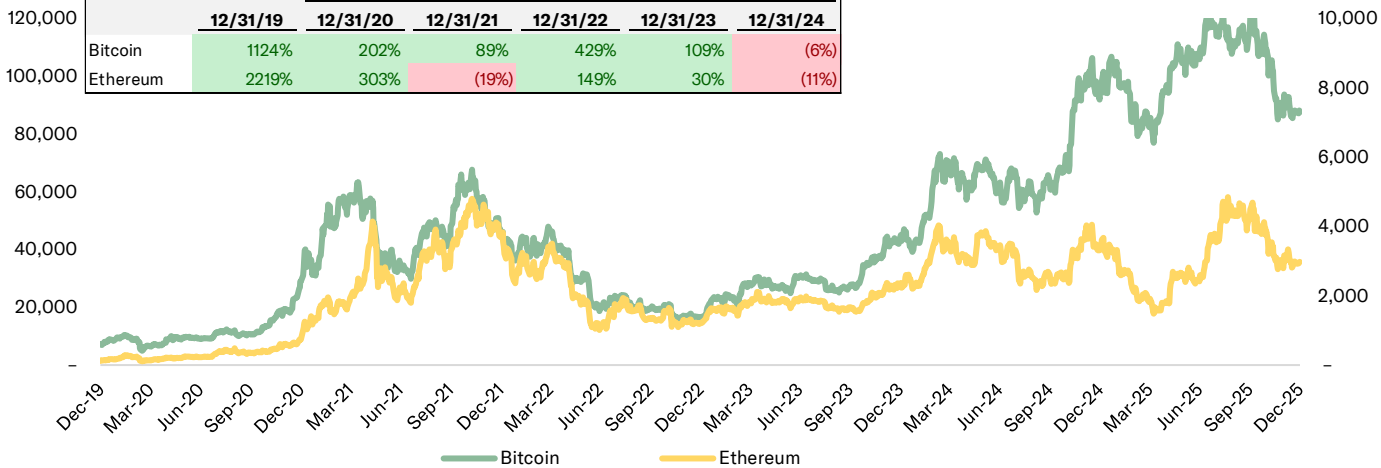
Equity Markets Index Values Over Time

	Return to Date (as of 12/31/25) from:					
	12/31/19	12/31/20	12/31/21	12/31/22	12/31/23	12/31/24
S&P 500	112%	82%	44%	78%	44%	16%
NASDAQ	159%	80%	49%	122%	55%	20%
Russell 2000	49%	26%	11%	41%	22%	11%
FTSE	32%	54%	34%	33%	28%	22%



Bitcoin & Ethereum Price Over Time

	Return to Date (as of 12/31/25) from:					
	12/31/19	12/31/20	12/31/21	12/31/22	12/31/23	12/31/24
Bitcoin	1124%	202%	89%	429%	109%	(6%)
Ethereum	2219%	303%	(19%)	149%	30%	(11%)



In 4Q25, U.S. equity markets posted solid gains, supported by moderating inflation and steady risk sentiment. The S&P 500 rose 16% YoY, while the NASDAQ gained 20% on continued large-cap tech strength. Small caps lagged, with the Russell 2000 up 11%, while international equities outperformed, with the FTSE 100 up 22%

In crypto, performance was weaker of the period, with heightened volatility weighing on returns. Bitcoin declined approximately 6% YoY, while Ethereum fell 11%

Source: Bloomberg

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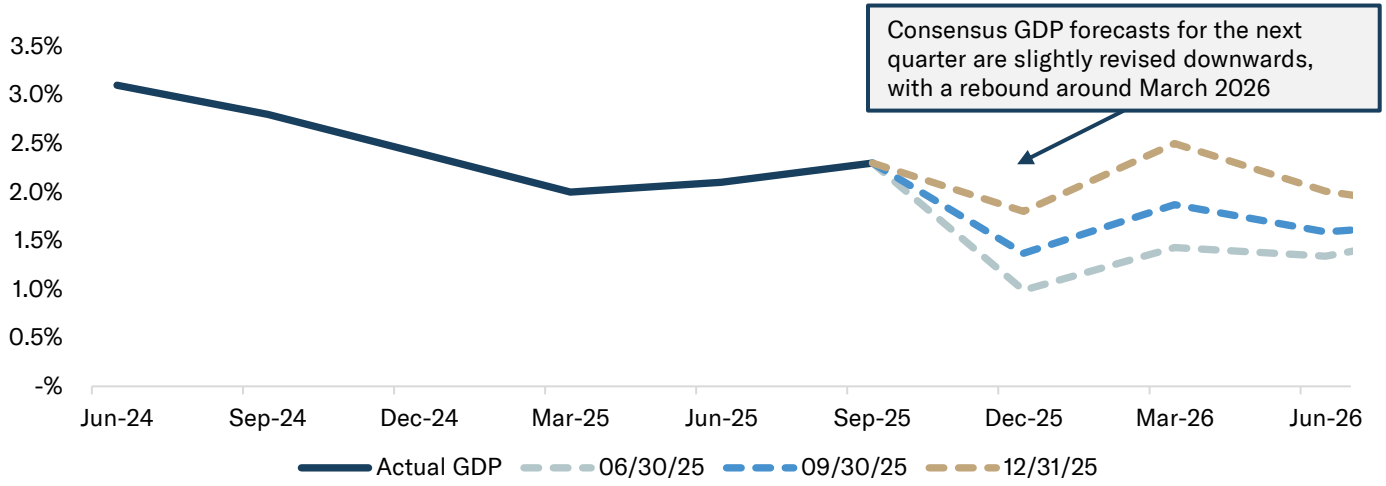
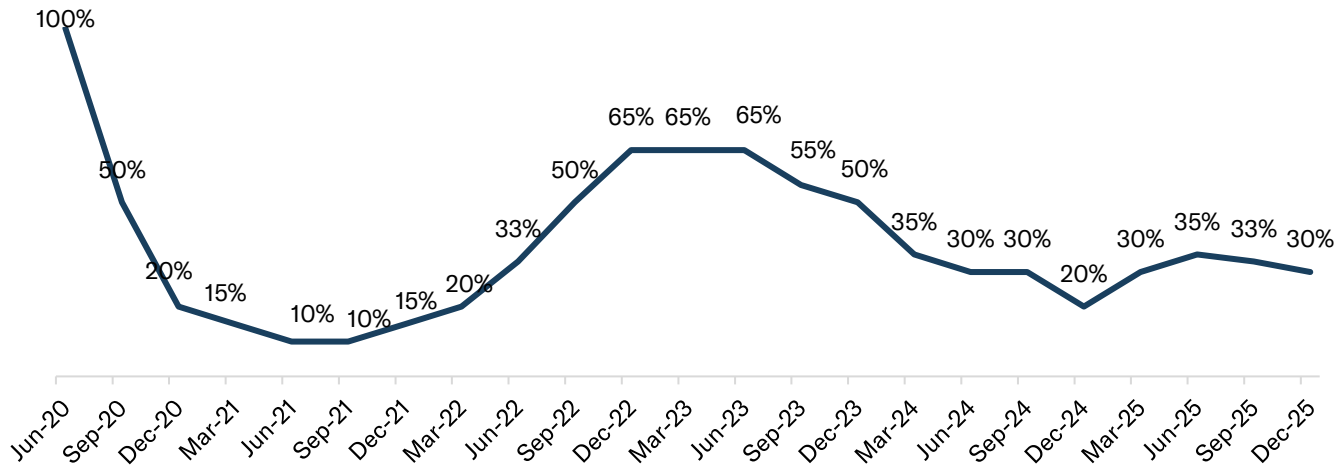
GDP and Economic Expectations

U.S. Real GDP (YoY Change %) – Historical and Consensus Estimate Curves



Consensus Probability of a Recession in Next 12 Months



In 4Q25, Consensus Estimates for U.S. Real GDP were moderately revised lower for the near-term outlook, reflecting expectations of softer growth followed by a brief rebound around early 2026

Meanwhile, Bloomberg's 12-month recession probability eased slightly to 30%, down from the previous quarter

Source: Bloomberg

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iii. M&A & Investment Activity

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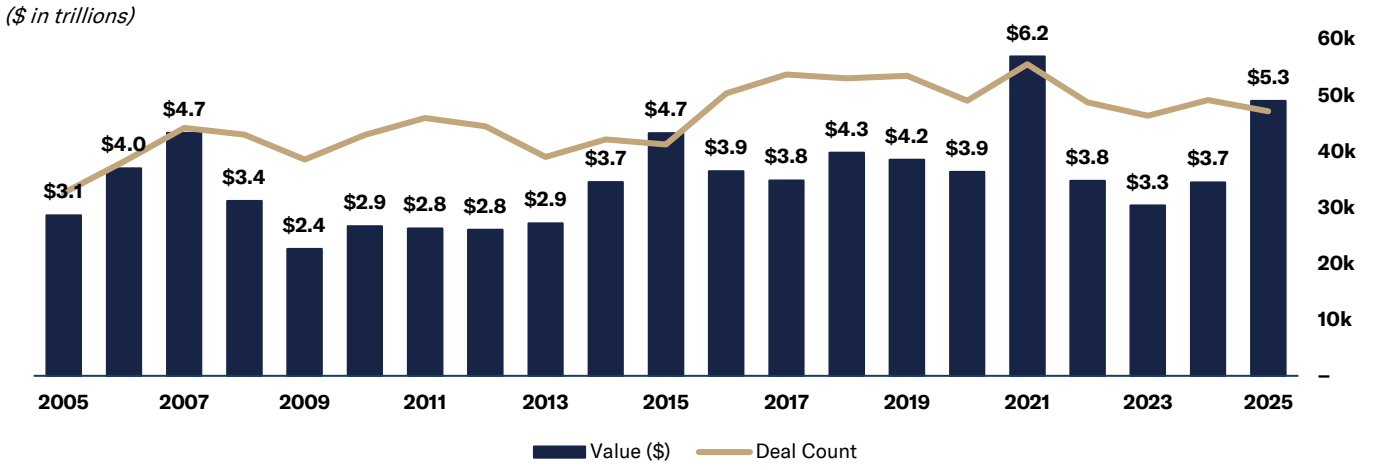
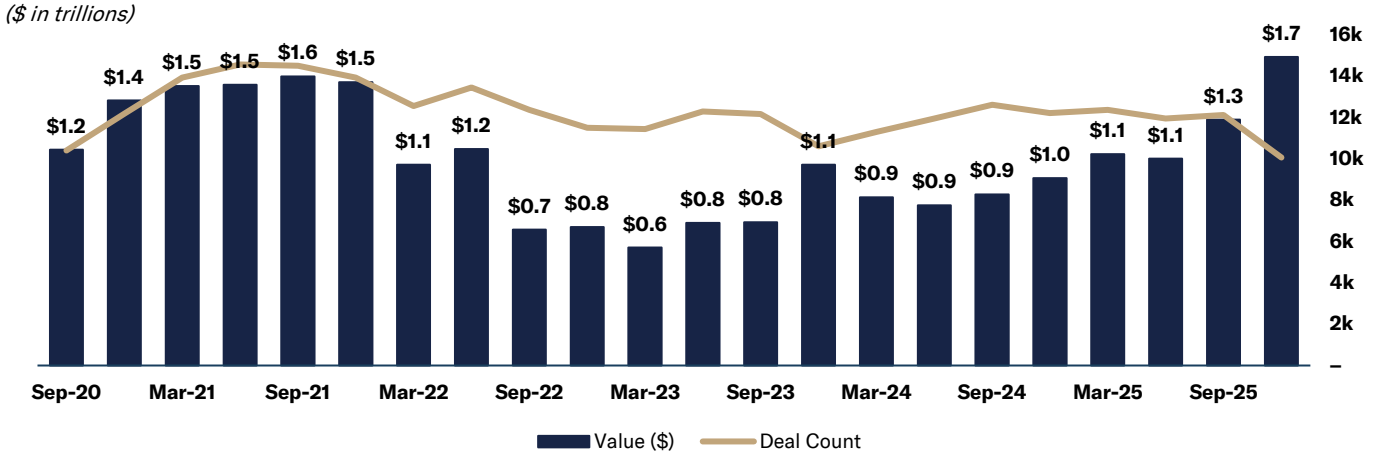
Global M&A Market Activity

Annual M&A Volume



Quarterly M&A Volume



While annual transaction value increased ~42.1% YoY , annual deal volume declined ~4.1%, driven by a sharp acceleration in large-cap ($5bn+) transactions, shifting aggregate value higher despite fewer announced deals

Momentum in the large-cap segment accelerated through 4Q25, with deal value reaching ~$1.7tn, reflecting a reopening of strategic and sponsor activity supported by improving capital markets and financing conditions

Source: Mergermarket
Note: Value & volume activity based on deal announcement reporting

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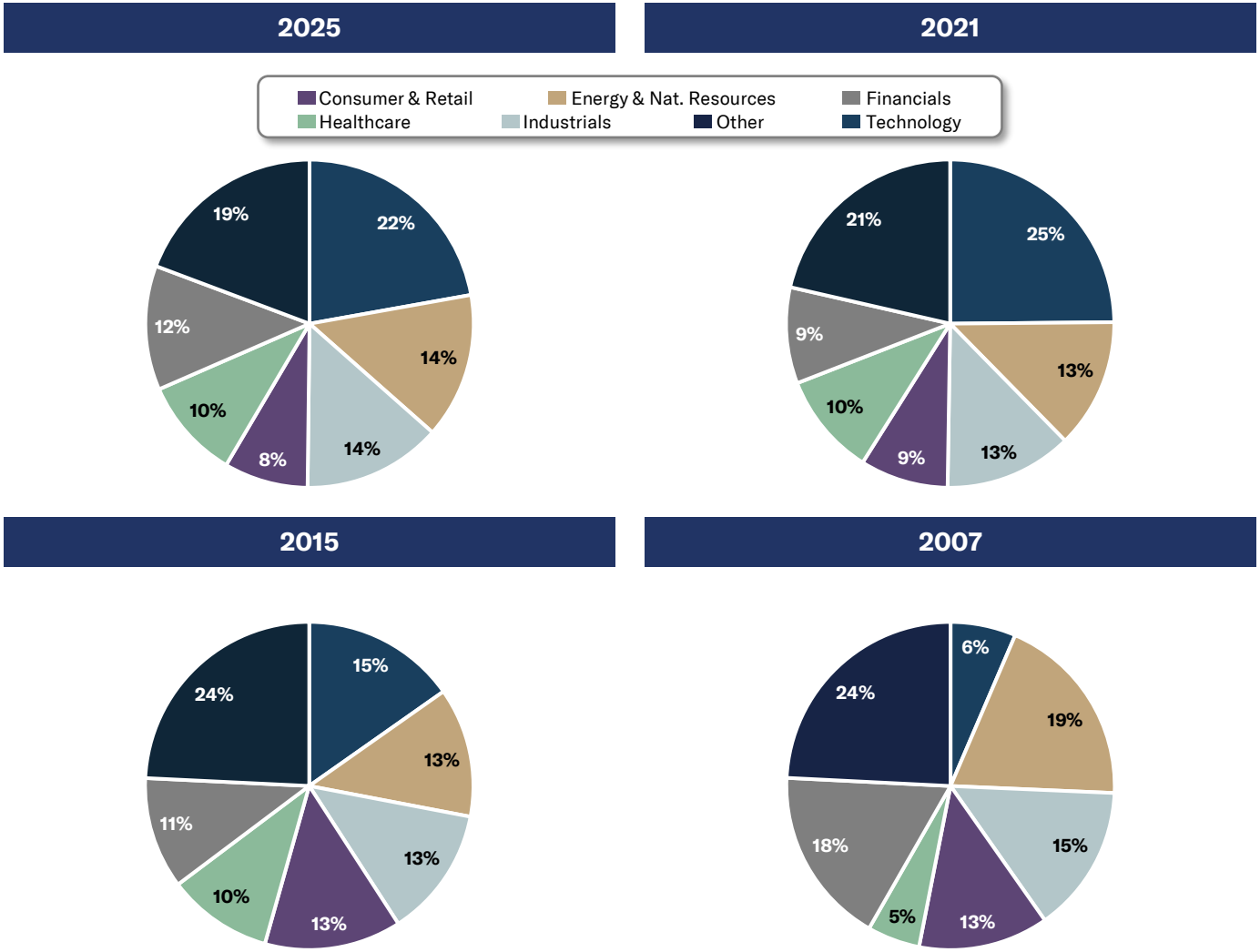
Global M&A Market Trends: Sector Overview



Across peak global M&A years, the composition of deal value across the six focus verticals changed materially by cycle, reflecting shifts in strategic and sponsor focus over time

Technology has emerged as the clear lead contributor in recent peak years, with a 2025 share of ~22% compared to only ~6% in 2007

Source: Mergermarket
Note: Value & volume activity based on deal announcement reporting

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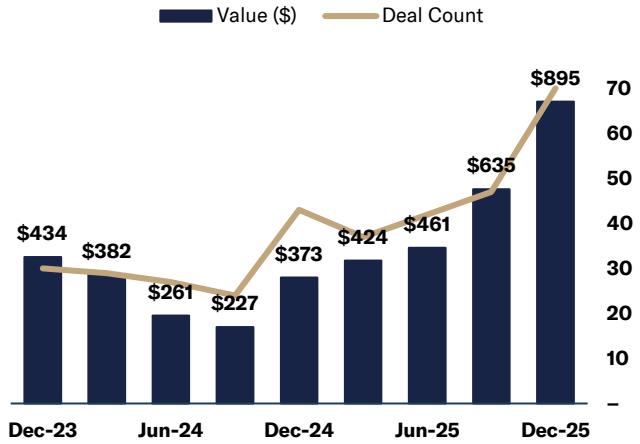
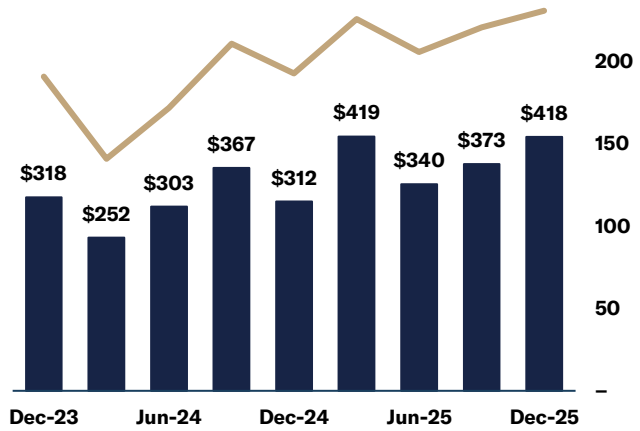
Global M&A Market Trends: Transaction Size

Large-Cap (> $5bn)

($ in billions)

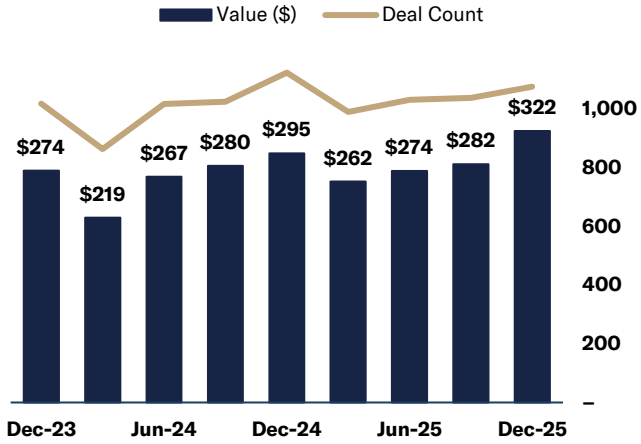


Upper-Middle Market ($1bn - $5bn)

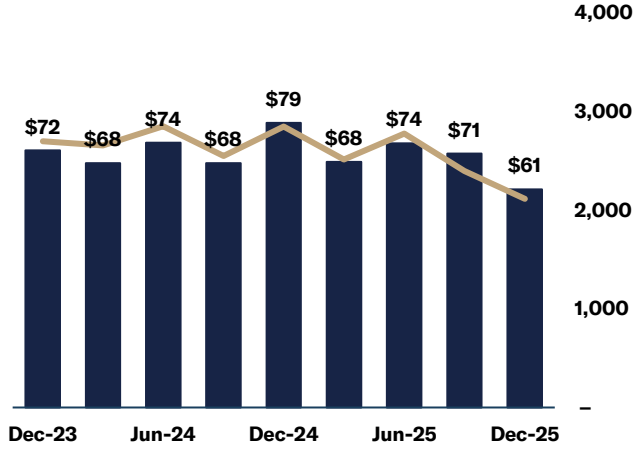


Middle Market ($100mm - $1bn)

($ in billions)



Lower-Middle Market ($5mm - $100mm)



Deal value expanded across all $100mm+ segments in 4Q25, reinforcing a continued bias for scaled M&A

Large-cap deals drove the late-year step-up and much of 2025's value rebound, with the $5B+ segment rising from ~$635bn to ~$895bn

In contrast, the lower-middle market softened, with deal counts declining 12% QoQ, reflecting continued caution related to smaller transactions

Source: Mergermarket
Note: Value & volume activity based on deal announcement reporting

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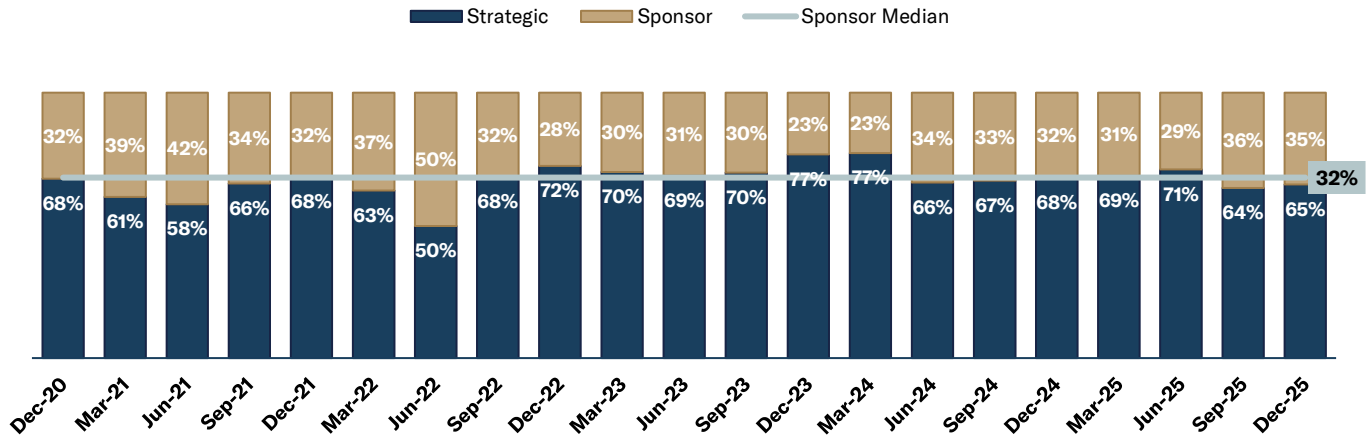
Global M&A Market Trends: Strategic & Sponsor Activity

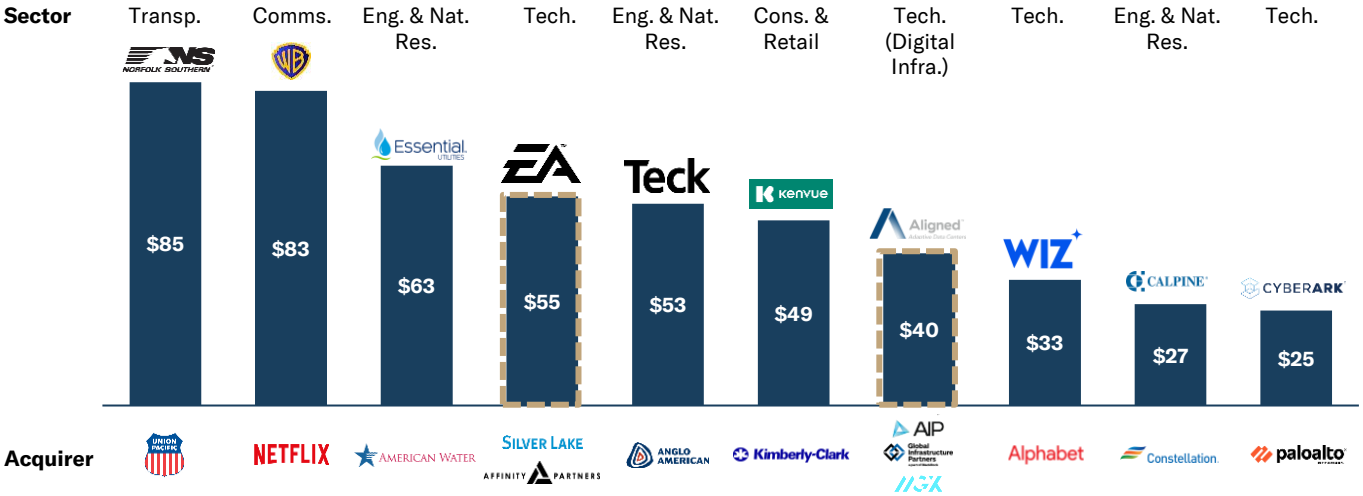
Quarterly M&A Activity by Acquirer Type

($ in billions)



Largest Announced Acquisitions of 2025[1]

Sponsor-Backed Transaction



Sponsor participation remained wide in 4Q25 and continued to recover from the late-2023 trough of ~23%. However, activity remains below Covid levels, as exit markets remain constrained and bid-ask spreads, while improving, continue to be elevated

Sponsor activity exhibited a clear flight to quality, concentrating on larger, scaled platforms; sponsor-backed deals accounted for two of the ten largest transactions in 2025, underscoring improving credit markets and a push to deploy dry powder

Source: Mergermarket
Notes: Value & volume activity based on deal announcement reporting
(1) By Total Enterprise Value

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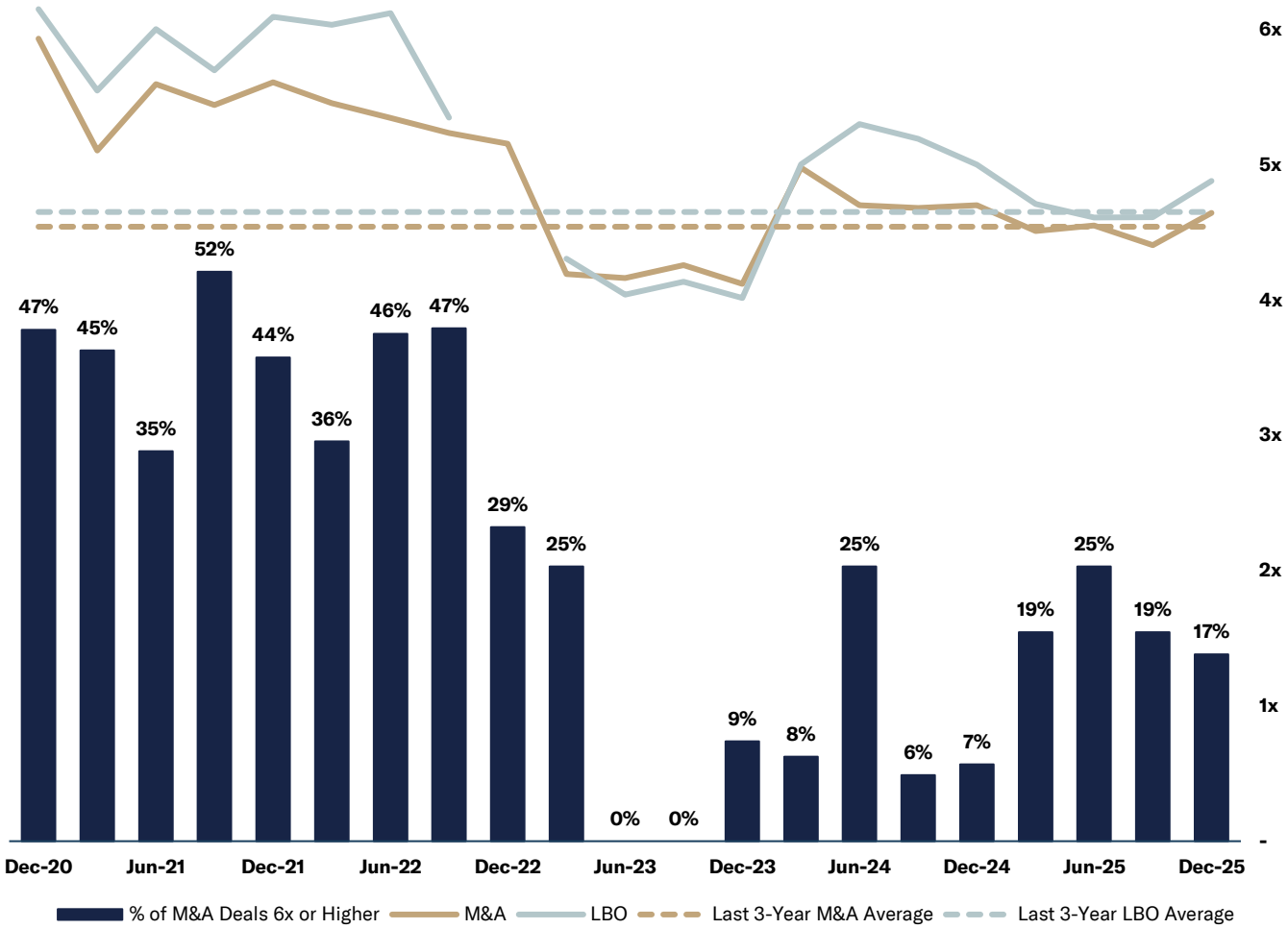
Global M&A Market Trends: Leverage Levels

Average Adjusted Total Leverage for Syndicated M&A & LBO Driven Loan Deals[1]



The average pro forma adjusted leverage for syndicated loan-backed M&A increased modestly to 4.6x in 4Q25, signaling incremental risk appetite while remaining below the 2024 average of 4.8x

However, lenders remain conservative at pushing total leverage, with transactions at 6.0x or higher leverage dropping to 17% in Q4

Source: CreditSights
Note:
(1) No LBO driven loans syndicated in Q2 and Q3 2023

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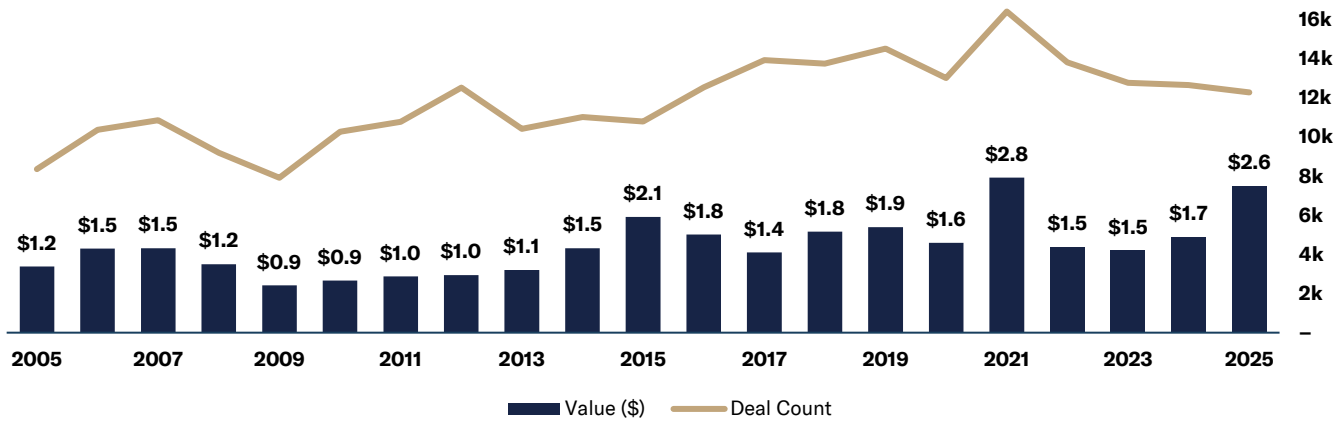
U.S. M&A Market Activity

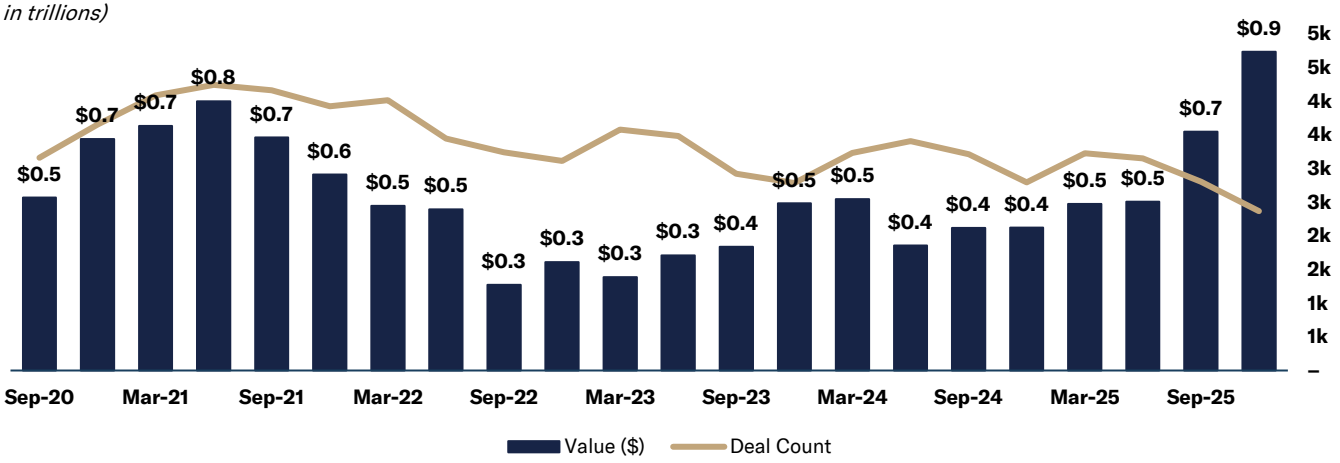
Annual M&A Volume

($ in trillions)



Quarterly M&A Volume

($ in trillions)



U.S. announced M&A deal value reached ~$2.6tn in 2025 (+53%), fueled by a sharp increase in mega-cap deals while overall deal count declined ~3%

The recovery was decisively back-half weighted, with 4Q25 reaching a record ~$0.9tn and materially outpacing H1 2025.

Deal activity was led by strategics seeking scale and portfolio rationalization as parties showed willingness to test the regulatory environment

Source: Mergermarket
Note: Value & volume activity based on deal announcement reporting

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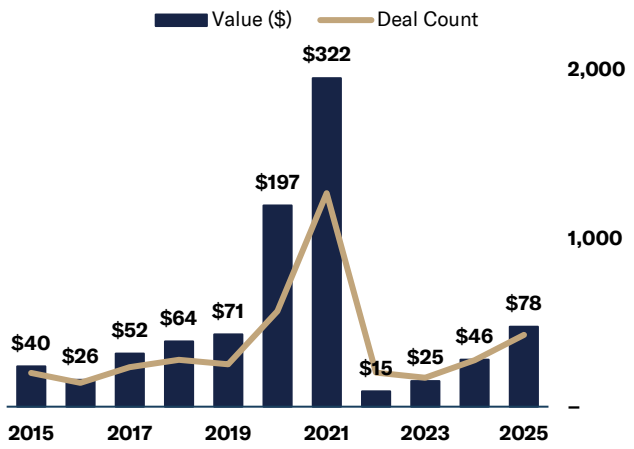
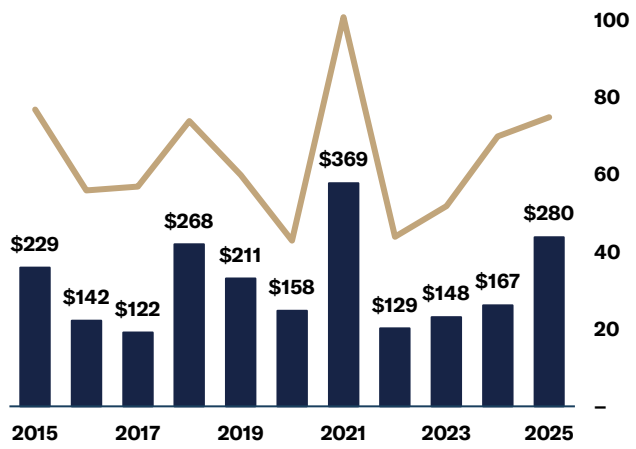
U.S. M&A Market Trends: Exits, Take Privates, and Carve-Outs

U.S. IPO Volume

($ in billions)

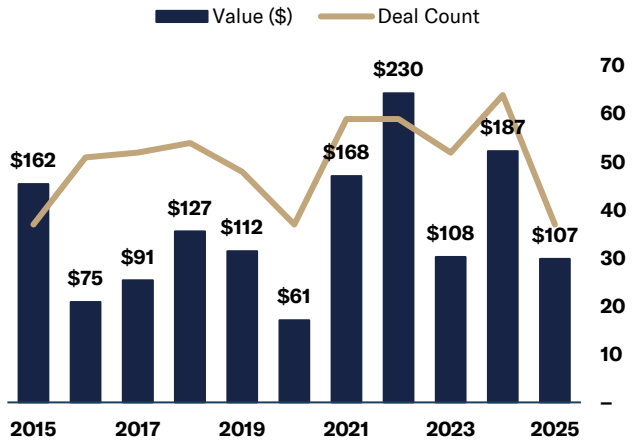


U.S. Large-Cap Divestitures[2]

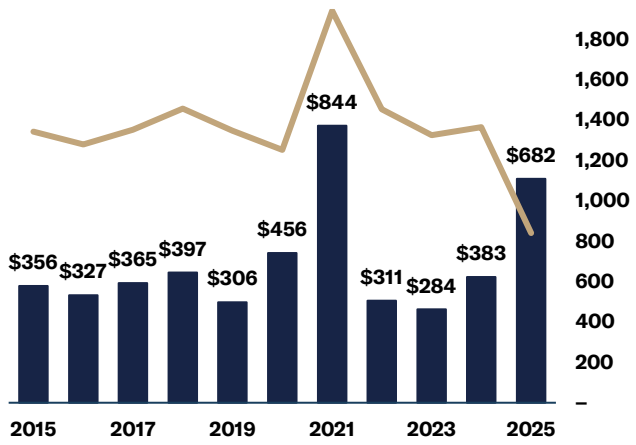


U.S. Take Private M&A[1]

($ in billions)



U.S. Financial Sponsor Exits



Exit markets continued to improve in 2025 with IPO proceeds and sponsor exits rebounding, though activity remains below peak levels

Divestiture activity strengthened, with large-cap value rising to approximately $280bn, the highest level since 2021

Take-privates moderated, with deal counts down to 36 and premiums compressing to the mid-30% range

Sources: FactSet, PitchBook
Notes: Value & volume activity based on deal announcement reporting
(1) $100mm minimum transaction value
(2) Public company parent $1bn minimum transaction value

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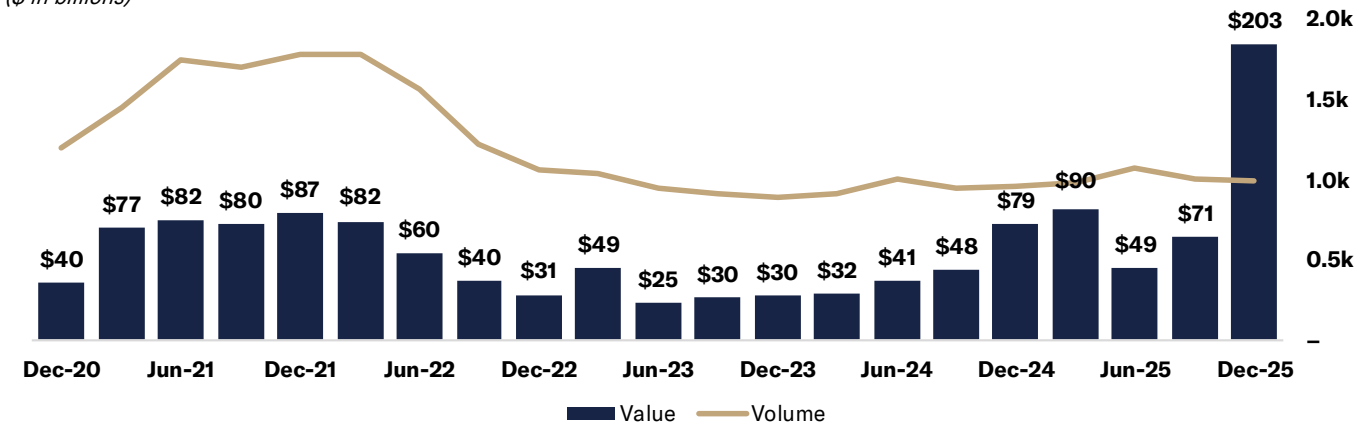
U.S. Venture Capital Trends

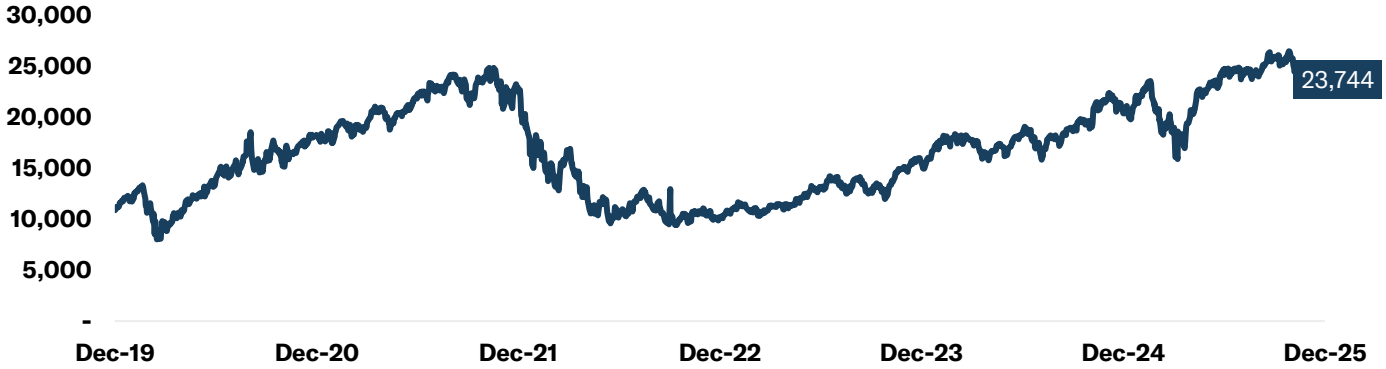
Quarterly U.S. Total Venture Capital Deal Value and Deal Count

($ in billions)



Refinitiv U.S. Venture Capital Index

	Return to Date (as of 12/25) from:					
	12/19	12/20	12/21	12/22	12/23	12/24
VC Index	118%	30%	6%	134%	50%	16%



U.S. venture deal value spiked in 4Q25, driven by a handful of outsized platform transactions that lifted quarterly totals, including Nvidia's announced $100bn investment in Open AI[1] and Microsoft and Nvidia's $15bn investment in Anthropic

Deal count remained flat YoY with transaction value driven by large AI investments, underscoring the absence of a broad-based venture market rebound

Refinitiv's U.S. Venture Capital Index, which tracks the gross performance of the VC industry returned 16% YoY

Sources: Bloomberg, Refinitiv

Note:

(1) Open AI has raised ~$64bn to date; NVIDIA previously invested ~$100mm in October 2024

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iv. Capital Markets & Private Credit Update

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Syndicated Leveraged Finance Markets – Key Commentary

- **Leveraged loan issuance in 4Q25 was subdued versus the prior year, reflecting limited repricing activity, while improving new-money issuance signaled a gradual recovery**
  - Issuance volumes in 4Q25 trailed prior-year levels as the refinancing window narrowed materially following the outsized repricing activity seen in 2024
  - New-money issuance improved during the quarter as M&A and LBO activity began to reaccelerate
  - Secondary loan prices were stable in 4Q25, with the Leveraged Loan Index ending the quarter largely unchanged despite earlier volatility in April 2025 and October 2025
- **CLO formation and loan market technicals remained constructive during the quarter, supported by strong investor demand and favorable supply-demand dynamics heading into year-end**
  - CLO issuance in 4Q25 remained steady following a strong 2024, with full-year issuance modestly exceeding prior-year levels
  - Loan prices stayed elevated during the quarter, with 58% of loans trading at or above par, well above long-term historical averages
  - Entering 2026, market participants anticipate sustained CLO formation and an increase in new-money supply as sponsor activity continues to recover
- **High yield markets were active in 4Q25 as falling Treasury yields and tight credit spreads encouraged issuers to refinance near-term maturities and opportunistically raise capital**
  - Credit spreads remained compressed in 4Q25, with BB and B spreads near cycle tights, despite episodic volatility earlier in the year
  - Lower-rated credits remained more challenged, with CCC spreads wider than year-end 2024 as investors remained selective amid ongoing pressure in cyclical sectors
- **Ducera expects the syndicated leverage finance markets to remain strong, absent any unforeseen macroeconomic or geopolitical shocks vs. what has been absorbed to date**

Capital formation and fund flows remained resilient through late-2025, supported by strong loan and CLO technicals despite earlier volatility

M&A and LBO activity improved in 2H25, though full-year volumes remained below 2024, reflecting an undersupplied primary market

Robust investor demand positions the broadly syndicated loan and HY markets to compete more effectively with private credit as sponsor activity normalizes

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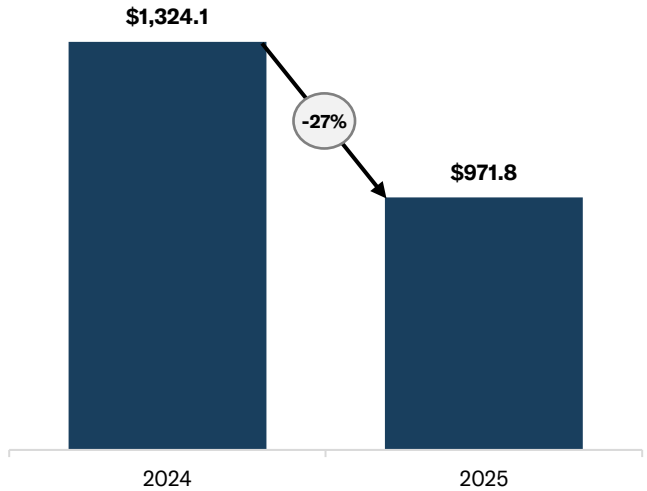
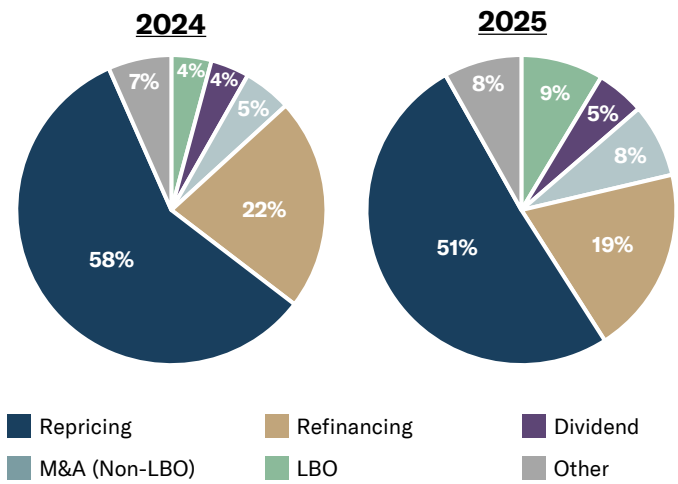
Leveraged Loans: Issuance and Fund Flows

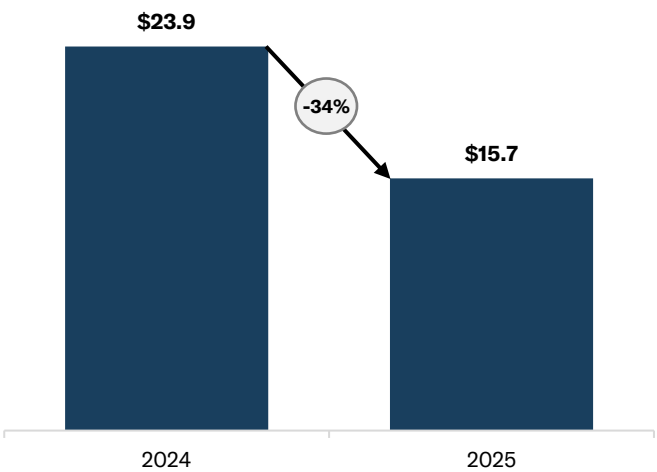
Issuance Volume



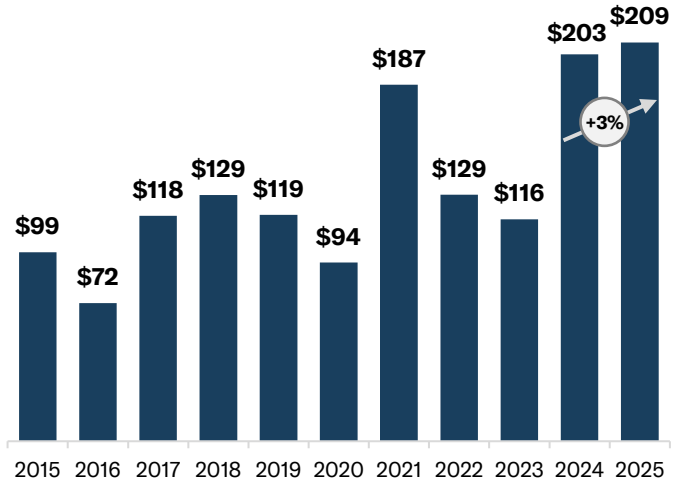
Issuance by Type



Fund Flows



CLO Issuance



Loan issuance down slightly YoY, largely due to lower repricing activity vs. 2024

Noticeable shift in the use of proceeds, with M&A (8%) and LBO (9%) activity picking up steam in the back half of the year and representing an increase in new-money vs. 2024

Although loan fund flows declined (-34%), CLO formation remained strong after a banner year in 2024, increasing by 3% amidst continued demand

Sources: CreditSights, Morningstar, PitchBook LCD (as of 12/31/2025)
Note: $ in billions

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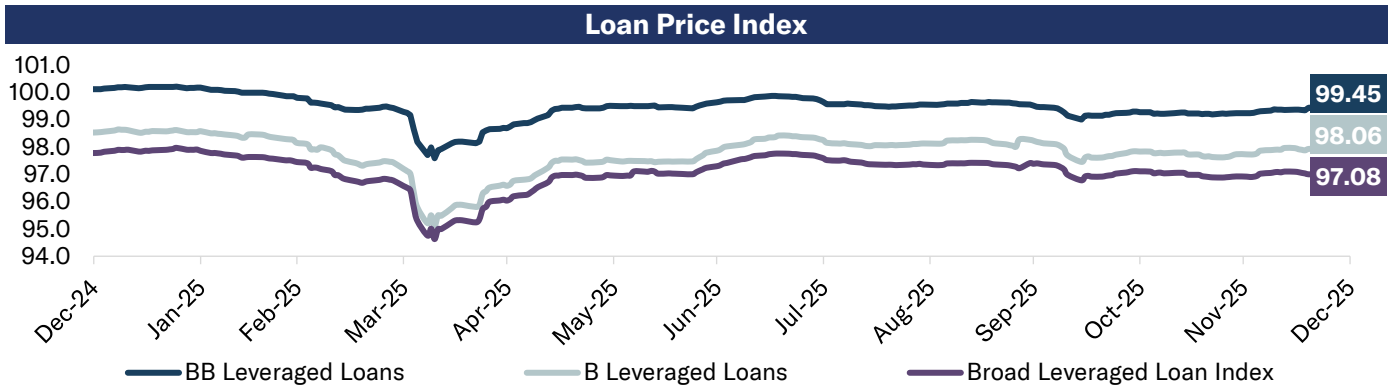
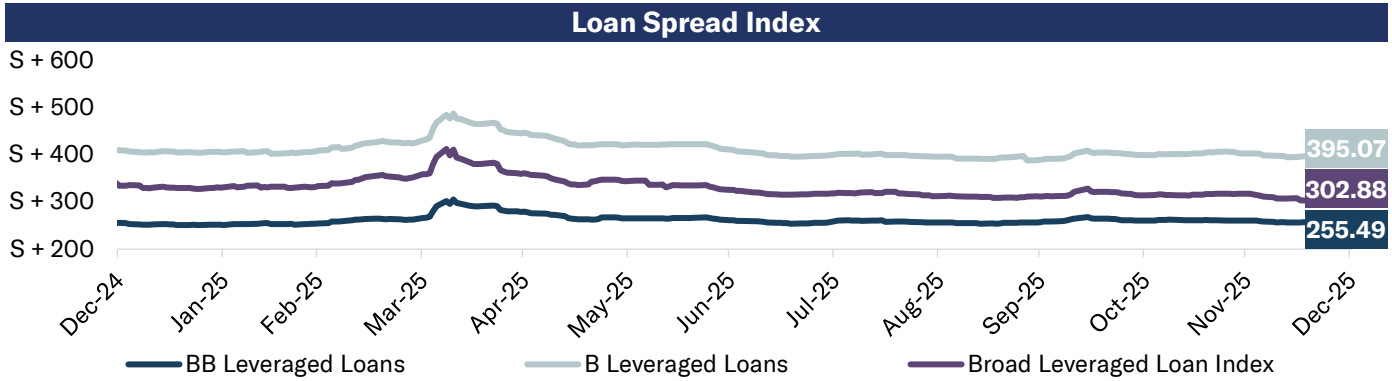
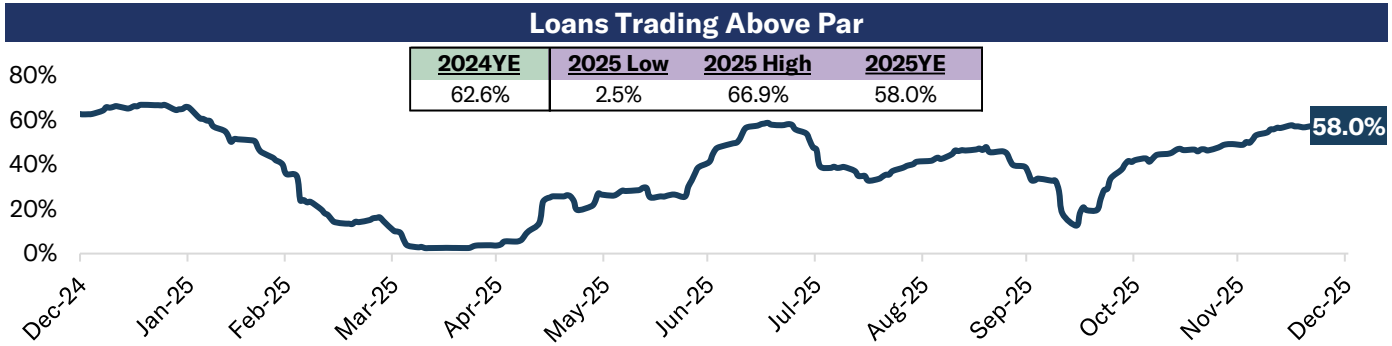
Leveraged Loans: Pricing and Spread Performance







2024YE	2025 Low	2025 High	2025YE
62.6%	2.5%	66.9%	58.0%

Loan prices declined materially in April following Liberation Day but rebounded quickly thereafter. Prices ticked downward in October amidst broader market volatility but largely recovered during the remainder of Q4

Percentage of loans bid at par or better was 58% at YE while loans traded above the 5-yr average of 23% for much of the year

Robust market conditions resulted in elevated opportunistic deals, with new issue volume picking up in 2H due to an increase in M&A / LBO activity

Source: PitchBook LCD (as of 12/31/2025)

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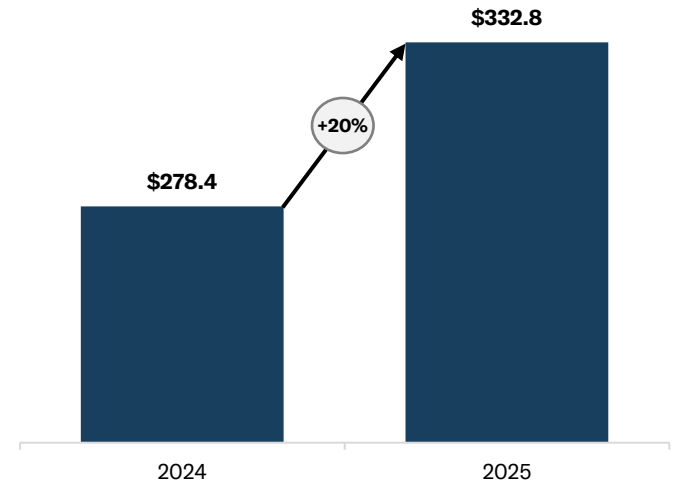
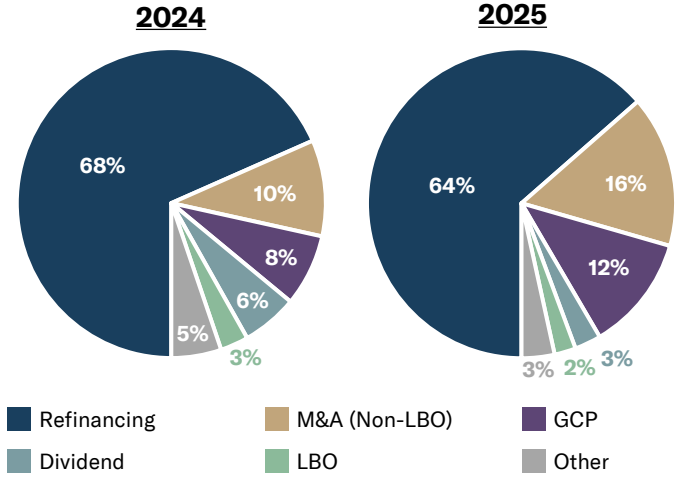
High Yield: New Issuance and Fund Flows

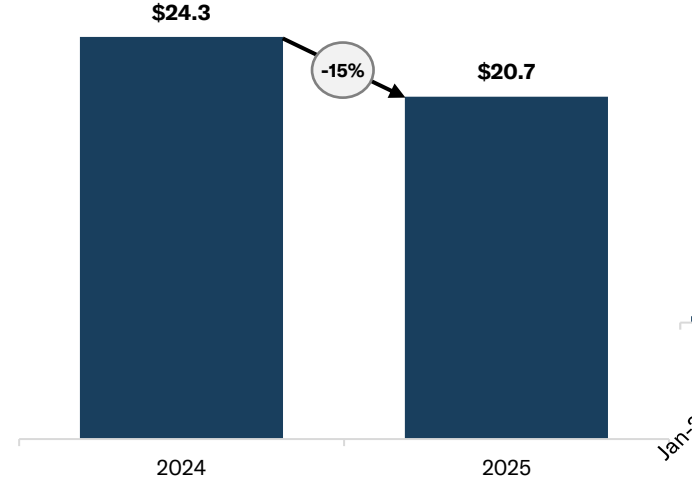
Issuance Volume



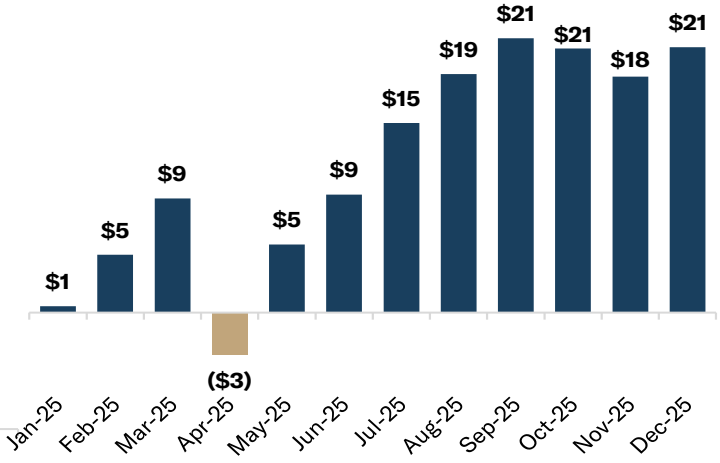
Issuance by Type



Fund Flows



Cumulative Fund Flows (2025)



High yield issuance increased YoY due to tightening yields and spreads which drove issuers to extend maturities and raise dry powder

Use of proceeds shifted to M&A (16%) and GCP (12%) as issuers took advantage of credit spreads that remained well inside long-term historical averages

Liberation Day hindered total fund flows during 2025 (-15% YoY), but the market saw substantial inflows following April (+$27bn) that were sustained through the remainder of the year

Sources: CreditSights, Morningstar, PitchBook LCD (as of 12/31/2025)
Note: $ in billions

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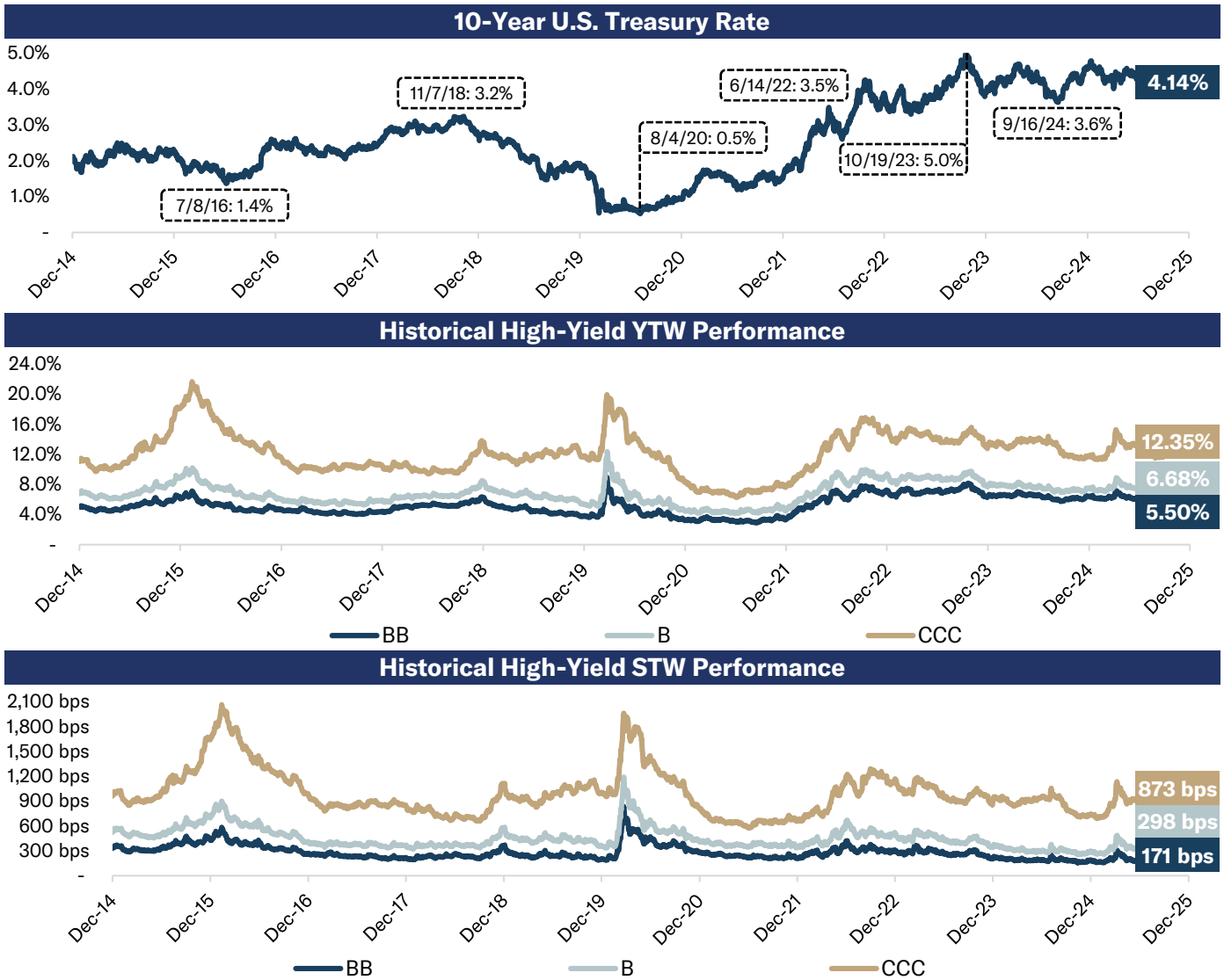
High Yield: Yield and Spread Performance



10-yr U.S. treasury rates declined ~40 bps vs. 2024 as conviction around the Fed rate cutting cycle increased and inflation prints remained within expectations

Yields declined slightly for BB and B issuances amidst a declining 10-yr and spread compression

CCC yields widened due to decreased investor appetite for cyclical credits and challenges in specific industries (Chemicals, Building Products, etc.)

Spreads remained compressed vs. historical averages; the current HY OAS of ~281 bps is ~249 bps lower than the 25-yr average

Source: FRED (as of 12/31/2025)

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Private Credit Markets – Key Commentary

- **Private credit AUM remains a growth-oriented asset class and continues to evolve amidst the ongoing proliferation of "Private IG" credit strategies as asset managers seek to manage increasing amounts of insurance capital**
- **Competition for new assets remains fierce as private capital providers are still flush from recent years' robust fundraising while having to compete with elevated valuations in syndicated credit vs. a limited supply of actionable transactions**
  - Sourcing assets continues to be the #1 cited headwind facing private credit participants
  - Syndicated markets exhibiting extremely tight market technicals, with several large private credit deals refinanced in the BSL market during Q4
  - Issuance in both markets was down YoY as M&A activity failed to materialize as anticipated
- **Amidst the market competition, private credit spreads continue to grind tighter for issuers of all sizes and across multiple industries**
  - Disparity in pricing is most acute in import-dependent industries with tariff exposure vs. service-oriented credits
- **Private IG strategies represents one of the fastest growing segments within private credit more broadly as asset managers continue to successfully court insurance capital**
  - Asset-backed-finance (ABF) strategies are expanding beyond traditional definitions and now include securitizations of music royalties, aircraft leases, data infrastructure, fund finance, and more
  - Private capital providers remain focused on large, public IG corporate issuers as a source of capital deployment to fund significant capex projects and / or monetization of assets through JV structures
- **Ducera believes the private capital markets offer a compelling alternative to traditional syndicated financings and anticipate continued adoption by borrowers, particularly corporates**
  - Premium pricing for private IG vs. traditional IG markets, but continued convergence on cost of capital and unique structuring flexibility make these alternatives increasingly attractive

Growth expectations for private credit remain robust, with expectations of becoming a $30 trillion asset class by 2030; Private IG strategies are expected to be one of the largest growth contributors

Scarcity of assets due to a prolonged slowdown in M&A is driving tightness across both private and syndicated credit markets, though M&A activity is beginning to accelerate

Private IG transactions continue to proliferate and represent a much larger opportunity set within the asset class

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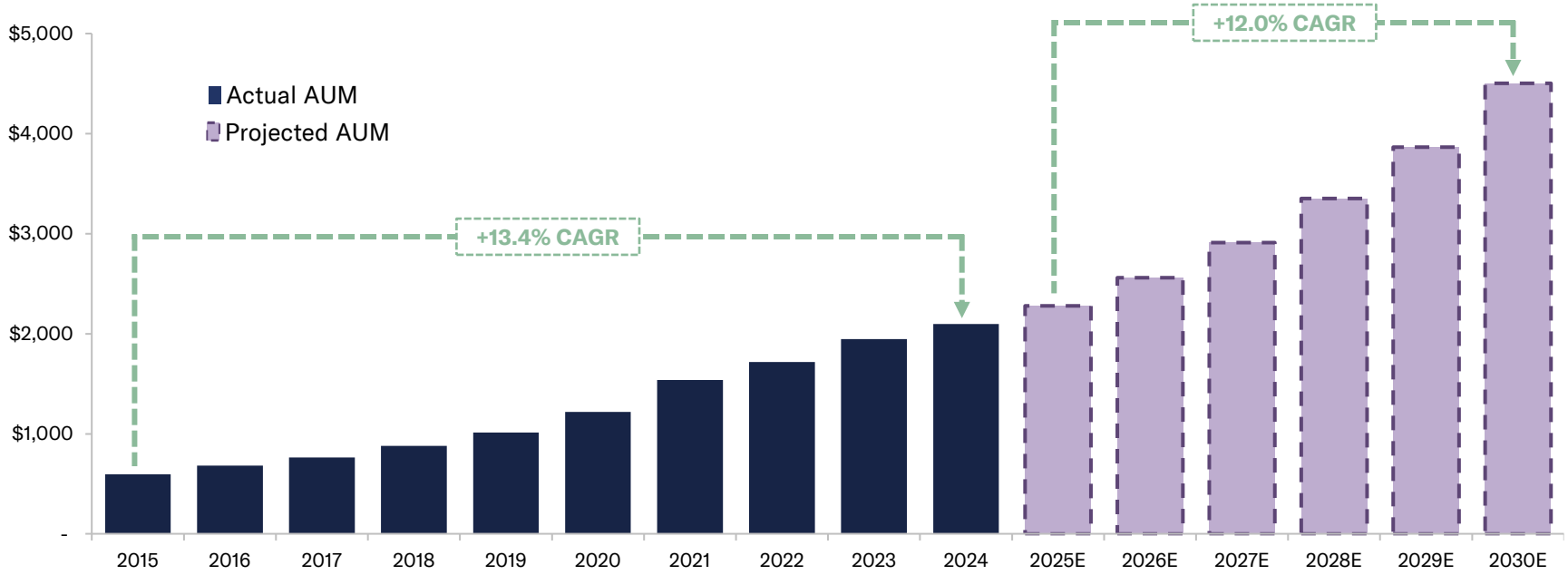
Private Credit Market Snapshot

Private credit global AUM has surpassed $1.8t and is expected to reach $4.5t by 2030

- Private credit has grown into a sizable, scalable, stand-alone asset class, and has broadened its addressable markets of investors and borrowers
  - No longer reserved for niche financing solutions, or exclusively for lending to private equity-backed companies
  - Rapid increase in scale now allows for the financing of larger borrowers, including those with demonstrated access to the liquid (public) corporate debt markets (both high yield and investment grade)
- Private credit within IG now represents both the largest and fastest growing addressable market for the asset class. Asset backed financings (ABF) are increasingly turning to private markets, while structured equity to IG-rated corporates are also increasing in both frequency and size



Sources: S&P Global, Preqin (as of 11/04/2025)
Note: $ in billions

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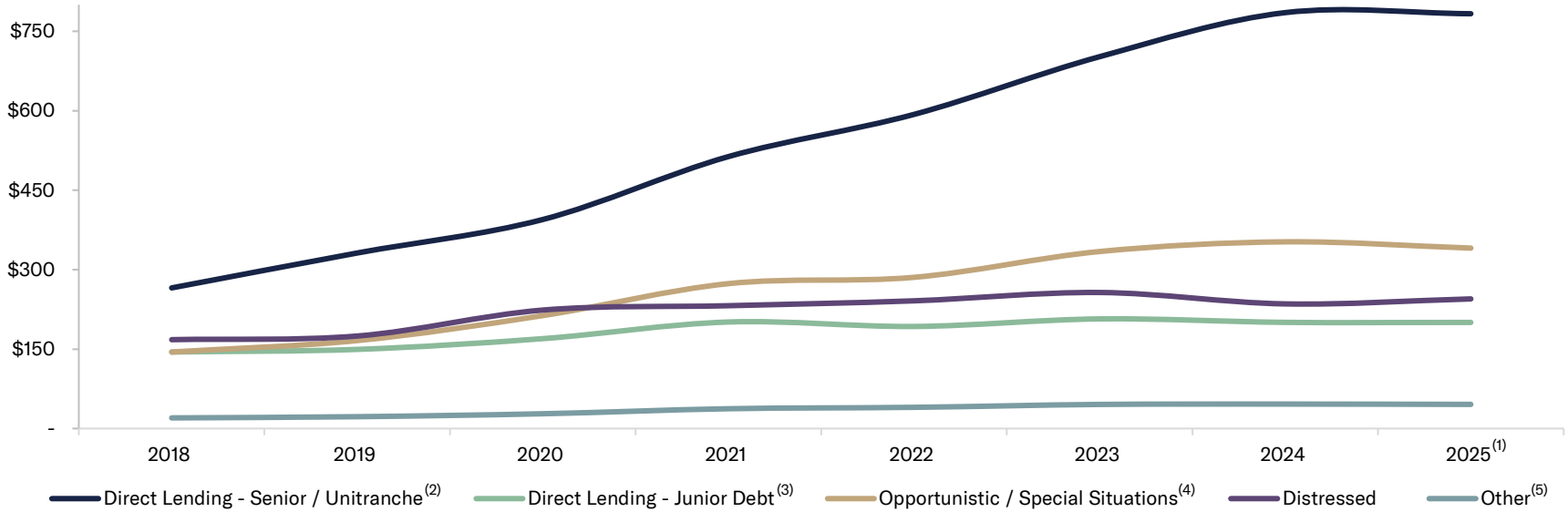
Historical Private Credit AUM by Strategy

AUM growth remains healthy, but has been weighted toward strategies focused on senior debt in recent years

- AUM grew rapidly from 2015 – 2025 (+16.7% CAGR), but has slowed over the past few years (+6.1% CAGR since 2022)
  - New market entrants into the Senior / Unitranche DL strategy has been the primary driver of growth, increasing at a 14.7% CAGR since 2020 with all other strategies increasing in the low single digits over the same period
- Growth in capital driven by two main factors: new market entrants looking to lend to niche / underserved markets and large asset managers targeting mega LBOs and corporate borrowers
- However, capital flows have outpaced deployment opportunities, driving the cost of capital down and bringing private vs. public markets closer to parity



Source: Preqin (as of 12/31/2025)
Notes: $ in billions
(1) 2025 data as of 03/31/2025
(2) "Direct Lending – Senior / Unitranche includes direct lending senior debt, direct lending unitranche, and direct lending
(3) "Direct Lending – Junior Debt" includes direct lending junior / subordinated debt and mezzanine
(4) "Opportunistic / Special Situations" includes special situations and blended / opportunistic debt
(5) "Other" includes "Private Debt Fund of Funds

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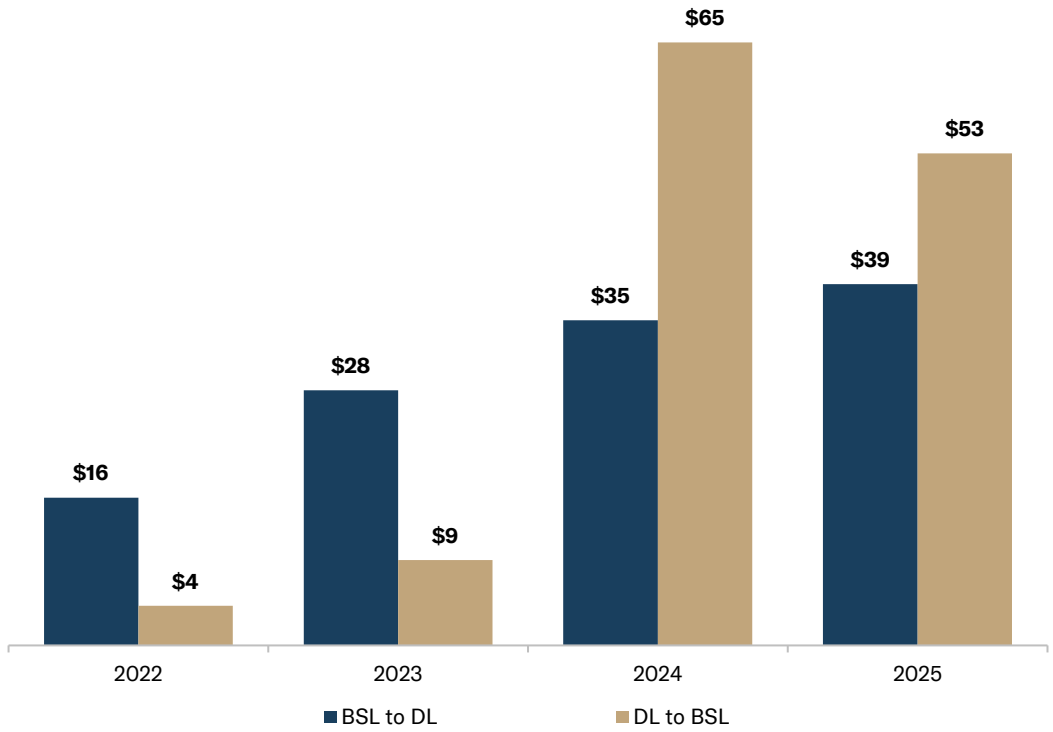
Syndicated Loans vs. Private Credit Competition

Private credit competed aggressively for assets in 2025, despite extremely strong conditions in the BSL market

- Large-cap LBOs, once reserved for syndicated markets due to market depth / pricing, are increasingly turning to private credit as an alternative or incorporating both markets (BSL for senior, private credit for junior)
- Pricing remains cheaper in syndicated markets, though the gap continues to narrow
- Despite a disadvantage in pricing, private credit continues to offer attractive structural flexibility (PIK, delayed draw facilities, portability) and is underwriting more aggressive covenant packages in a bid to compete with the BSL market

Historical BSL to Private / Private to BSL



Notable Deals in 2025

Company	Size	Type of Deal	Use of Proceeds	Pricing
ServiceLogic	$3,100	BSL to DL	LBO	S+450
MITRATECH	$2,000	BSL to DL	Refi	S+475
KBRA Kroll Bond Rating Agency	$1,100	BSL to DL	Refi	S+475
FINASTRA	$2,950	DL to BSL	Refi	S+400
Trucordia	$1,940	DL to BSL	Refi	S+325
ALERA GROUP	$3,060	DL to BSL	Refi	S+325

Source: PitchBook LCD (data as of 12/31/2025)
Note: $ in millions

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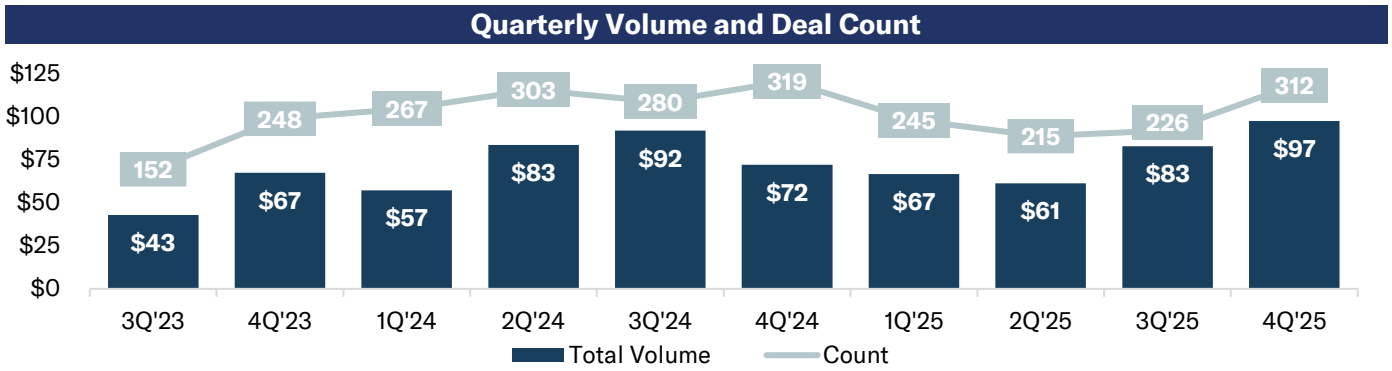
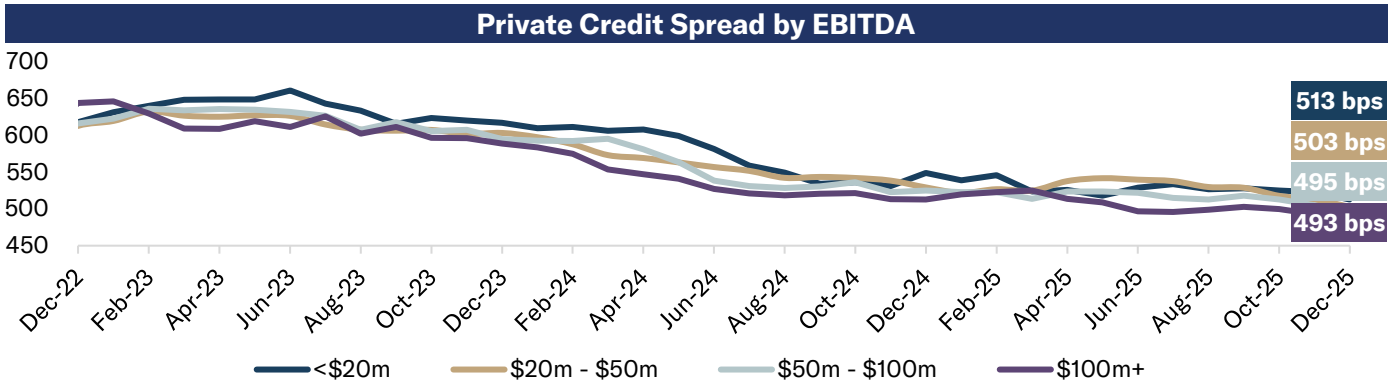
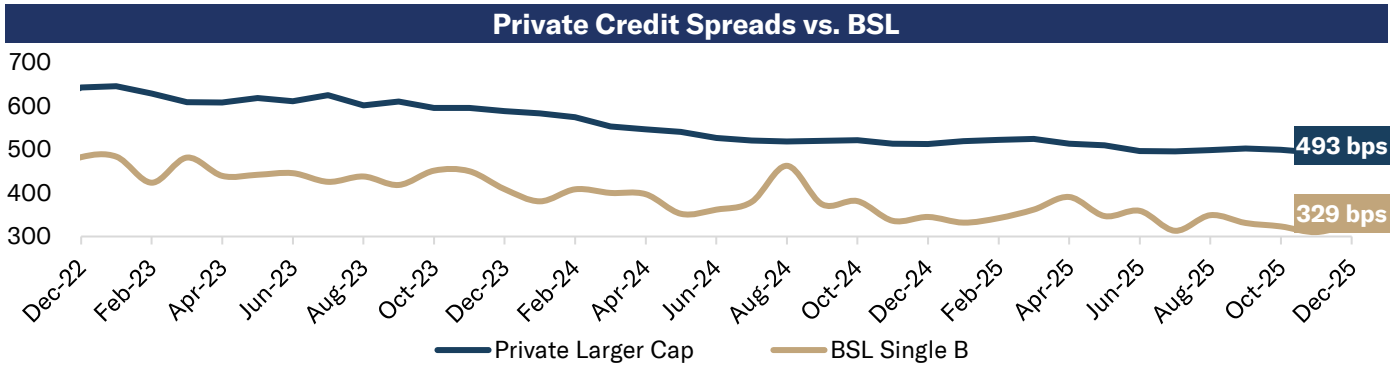
Private Credit Market Overview







Private credit remains highly active amid an uptick in M&A activity and has demonstrated resilience through periods of increased volatility

Continued capacity to support large-scale financings, with 38 deals >$1bn announced in 2025

Best-in-class credits (middle market and large cap) continue to achieve Unitranche pricing of S + 450-475, as investors are willing to trade spread for assets

Source: KBRA (data as of 12/31/2025)
Note: $ in billions

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Select Recent Private Credit Financings (> $1.0bn)

Recent Direct Lending Deals						
Company	Date	Debt Amount *($ in mm)*	Ownership	Lead Lender(s)	Use of Proceeds	Pricing
HOLOGIC The Science of Sure	Dec 2025	$2,000	Blackstone, TPG	OAKTREE, PSP Investments	LBO	S+500
MITRATECH	Dec 2025	$2,000+	Ontario Teachers' Pension Plan	Blackstone	Refi	S+475
KBRA Kroll Bond Rating Agency	Nov 2025	$1,100	Parthenon Capital	BlackRock	Dividend	S+475
moderna	Nov 2025	$1,500	NASDAQ: MRNA	ARES	General Corp	Not Disclosed
PIKE	Nov 2025	$3,000	TPG	ARES	LBO	Not Disclosed
QUIRCH	Nov 2025	$1,100	Palladium	ARES, Regions	Refi	Not Disclosed
ServiceLogic	Nov 2025	$3,100	BainCapital	Blackstone	LBO	S+450
Shutterfly	Nov 2025	$2,000	APOLLO	General Atlantic	Refi	S+650
NEOGOV	Oct 2025	$1,170	EQT, CPP Investments	Antares Capital	LBO	Not Disclosed
SIGNANT HEALTH	Oct 2025	$1,000+	Genstar Capital	Blackstone	Refi	S+475
LeafHome	Sep 2025	$2,000	Gridiron Capital	ARES	Acquisition	Not Disclosed

Source: CreditSights (data as of 12/31/2025)
Note: $ in millions

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Select Recent Private Credit Financings (< $1.0bn)

Recent Direct Lending Deals						
Company	**Date**	**Debt Amount** *($ in mm)*	**Ownership**	**Lead Lender(s)**	**Use of Proceeds**	**Pricing**
enviromatic	Dec 2025	$250	Wind Point Partners	Churchill from nuveen; Deerpath Capital	LBO	S+500
TREACE Medical Concepts, Inc.	Dec 2025	$125	NASDAQ: TMCI	SLR Capital Partners	Refi	S+505
XPONENTIAL Fitness	Dec 2025	$525	NYSE: XPOF	HPS; Fortress	Refi	S+675
Mercer Advisors	Nov 2025	$500	Oak Hill Capital	MidCap Financial	General Corp	S+480
Surmodics	Nov 2025	$450	GTCR	OHA Oak Hill Advisors	LBO	Not Disclosed
Avita Care Solutions	Oct 2025	$668	Kinderhook Industries	Apogem Capital	Recap	Not Disclosed
biocryst	Oct 2025	$550	NASDAQ: BCRX	Blackstone	Acquisition	Not Disclosed
Bridger Aerospace	Oct 2025	$310	NASDAQ: BAER	BainCapital	Refi	S+600
isto Biologics	Oct 2025	$330	Keensight Capital	Golub Capital	LBO	S+475
Justrite	Oct 2025	$850	Audax Group	Blackstone	Refi	Not Disclosed
OppFi	Oct 2025	$150	NASDAQ: OPFI	Castlelake	Refi	S+600

Source: CreditSights (data as of 12/31/2025)
Note: $ in millions

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v. Distressed Opportunity Indicators

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Macro Trends: Credit Rating Agency Activity

Summary Credit Rating Agency Activity

	Moody's			S&P Global Ratings		
	Upgrade Count	Downgrade Count	Upgrade / Downgrade Ratio	Upgrade Count	Downgrade Count	Upgrade / Downgrade Ratio
Quarter Ending						
Dec 2025	101	79	1.3x	99	105	0.9x
Sep 2025	84	86	1.0x	118	96	1.2x
Jun 2025	73	153	0.5x	149	126	1.2x
Mar 2025	120	83	1.4x	103	100	1.0x
Dec 2024	118	97	1.2x	101	123	0.8x
Sep 2024	97	74	1.3x	109	91	1.2x
Jun 2024	98	89	1.1x	158	112	1.4x
Mar 2024	113	104	1.1x	107	141	0.8x
Dec 2023	67	146	0.5x	94	126	0.7x
Year Ending						
Dec 2025	378	401	0.9x	469	427	1.1x
Dec 2024	426	364	1.2x	475	467	1.0x
Dec 2023	321	489	0.7x	421	605	0.7x
Dec 2022	427	355	1.2x	458	414	1.1x
Dec 2021	650	188	3.5x	642	328	2.0x

Current Quarter Notable Downgrades

MERCER

NewFortress energy

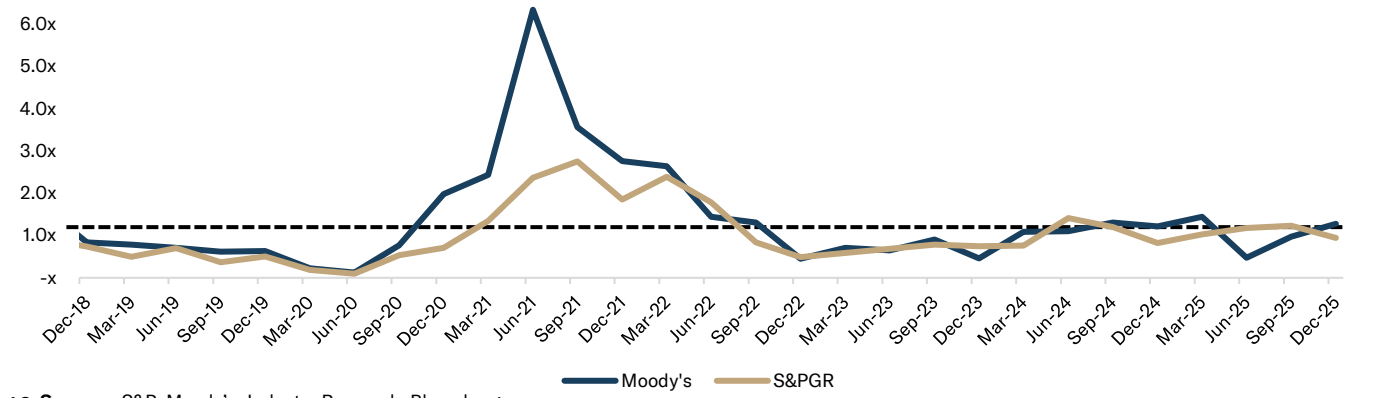
NISSAN MOTOR CORPORATION

OFFICE PROPERTIES INCOME TRUST

TRINSEO

UNIFRAX

Quarterly U.S. Upgrades to Downgrades Ratio



Upgrade / Downgrade ratios were meaningfully higher for Moody's at 1.3x compared to S&P's 0.9x, indicating a disparity between the agencies in the pace and degree of credit normalization, with Moody's exhibiting a more constructive bias toward improving issuer fundamentals while S&P remained comparatively more cautious

Per S&P reports, downgrades reached a 24-week high during the week of December 15th, with consumer discretionary flagged as the industry most at risk as of December 15th

Sources: S&P, Moody's, Industry Research, Bloomberg

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Macro Trends: Distressed Sector Trading Summary

- The below details a sector summary of Ducera's distressed debt company tracker – the table reflects a summary by sector of all identified bonds & loans with trading prices < 85c, yielding > 15%, and with ≥ $100mm aggregate debt outstanding

Distressed Sector Trading Summary

($ in US millions)

	Debt Securities[1]							Net Change			
			Trading Price (Weighted Avg.)								
Sector	**Amt. Out ($m)**	**Current YTM (%)**	**Current (12/31)**	**Prior Day (12/30)**	**Prior Wk. (12/23)**	**Prior Mo. (12/2)**	**Quarter End (06/28)**	**1 Day Δ**	**1 Wk. Δ**	**1 Mo. Δ**	**QTD Δ**
Telecommunications	$20,227	33.9	57.2	57.4	56.9	54.8	61.7	(0.1)	0.3	2.4	(4.5)
Software and Consulting	16,717	54.9	48.6	49.3	49.5	48.9	50.4	(0.7)	(0.9)	(0.3)	(1.8)
Chemical, Plastic and Rubber Materials	16,484	31.7	51.7	51.8	53.0	51.3	61.0	(0.1)	(1.3)	0.4	(9.3)
Investment Services	13,660	33.7	62.0	62.0	61.9	60.7	68.1	(0.0)	0.1	1.4	(6.1)
Manufactured Products	9,751	33.0	61.4	61.4	61.4	61.3	73.9	(0.0)	0.0	0.1	(12.5)
Industrial Services	7,029	37.6	55.4	55.4	55.4	49.4	52.8	0.0	0.0	6.0	2.6
Media and Publishing Services	6,156	53.8	49.6	46.2	45.8	46.4	54.7	3.4	3.7	3.2	(5.2)
Mining and Mineral Products	5,967	21.7	74.6	75.1	75.7	76.8	90.0	(0.5)	(1.1)	(2.2)	(15.4)
Upstream Energy	5,966	59.1	53.4	54.5	54.5	55.9	60.0	(1.1)	(1.1)	(2.6)	(6.6)
Hospitality Services	4,958	27.8	71.0	71.2	71.2	70.8	80.8	(0.2)	(0.2)	0.2	(9.8)
Healthcare Services	4,947	35.1	63.3	63.2	63.9	64.8	66.4	0.1	(0.6)	(1.5)	(3.1)
Financially Operative Institutions	4,589	30.1	59.9	59.9	59.8	60.1	66.5	0.0	0.1	(0.2)	(6.6)
Business Services	4,419	41.7	60.3	63.4	63.5	66.2	70.8	(3.2)	(3.3)	(6.0)	(10.6)
Consumer Vehicles and Parts	4,325	179.9	57.7	57.6	58.2	81.4	66.2	0.1	(0.5)	(23.6)	(8.5)
Corporate or Other Unallocated Revenue	3,931	26.8	64.4	64.3	64.2	67.1	81.0	0.1	0.2	(2.8)	(16.6)
Hardware	3,878	31.6	51.7	51.1	50.9	52.7	62.1	0.6	0.8	(0.9)	(10.4)
Miscellaneous Retail	3,066	17.8	75.9	76.1	75.8	74.8	81.7	(0.3)	0.1	1.1	(5.8)
Industrial Manufacturing	2,937	51.8	44.6	44.9	45.0	41.3	45.5	(0.4)	(0.4)	3.3	(1.0)
Consumer Goods	2,923	25.3	69.4	69.6	69.2	70.9	71.3	(0.3)	0.1	(1.5)	(2.0)
Utilities	2,585	32.4	62.2	57.8	57.9	57.0	59.3	4.4	4.3	5.3	2.9
Consumer Retail	2,281	49.1	54.5	53.6	53.3	57.8	54.8	0.9	1.2	(3.3)	(0.3)
Biopharmaceuticals	1,952	50.8	58.2	57.4	57.5	60.0	58.3	0.8	0.8	(1.8)	(0.1)
Real Estate	1,689	65.8	47.3	48.0	47.9	47.9	48.4	(0.7)	(0.7)	(0.7)	(1.1)
Specialty Finance and Services	1,667	47.9	40.7	40.4	40.3	47.1	56.5	0.3	0.5	(6.4)	(15.8)
Food and Tobacco Production	1,400	28.8	67.2	67.1	67.6	72.0	78.1	0.1	(0.4)	(4.8)	(10.9)
Food and Staples Retail	1,395	51.0	55.0	55.1	55.0	52.8	60.9	(0.0)	(0.0)	2.3	(5.9)
Household Services	1,330	28.7	71.4	71.3	70.4	75.1	84.6	0.0	1.0	(3.8)	(13.2)
Household Products	1,270	42.0	51.3	51.3	50.2	48.9	62.4	–	1.1	2.3	(11.1)
Downstream and Midstream Energy	650	51.5	44.2	44.7	45.2	47.3	50.5	(0.6)	(1.0)	(3.1)	(6.4)
Electronic Components and Manufacturing	213	27.0	85.0	84.8	86.1	88.4	93.5	0.1	(1.1)	(3.4)	(8.6)
Total	**$158,363**	**41.9**	**57.6**	**57.7**	**57.7**	**58.0**	**64.0**	**(0.0)**	**(0.1)**	**(0.4)**	**(6.4)**

Sources: S&P Global Market Intelligence, FactSet

Notes:

(1) Based on securities identified from screen, as opposed to total capital structure

(2) Reflects total unique situations identified as part of screen

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Distressed Markets Review

- **Leveraged Loan Issuance Remained Subdued in 4Q25 Amid Limited Repricing Activity**
  - Leveraged loan issuance in 4Q25 trailed prior-year levels as the refinancing window narrowed materially following the outsized repricing activity seen in 2024
- **New-Money Issuance Improved as Sponsor Activity Began to Reaccelerate**
  - M&A and LBO-driven issuance gained momentum during the quarter, supported by constructive loan market technicals, stable secondary prices, and sustained CLO formation
  - Loan prices remained elevated with a majority of loans trading at or above par, reinforcing demand for higher-quality and longer-tenor credits as investors remained selective amid tight spreads and ongoing pressure in lower-rated segments
- **Market Conditions Remained Favorable with Tight Spreads and Positive Technicals**
  - Credit spreads in the high-yield market tightened over 2025, with option-adjusted spreads compressing and broad investor participation helping absorb supply
  - Despite volatility earlier in the year, technicals and improved fundamentals supported continued issuance in 4Q
- **High-Yield Issuance Expanded in 4Q25 on Supportive Market Backdrop**
  - U.S. high-yield bond issuance remained robust in late 2025 as issuers continued to tap markets amid declining yields and strong investor demand
  - Total returns for high-yield securities stayed positive heading into year-end as spreads remained below long-term averages and credit quality improved, underscoring resilience and leaving the asset class positioned for another strong annual performance

Distressed credit markets showed signs of stabilization through year-end 2025 as spreads on leveraged loans and high-yield bonds compressed after earlier volatility

After volatility tied to tariffs and macro uncertainty earlier in the year, both high-yield and leveraged loan markets saw spreads remain tight into 4Q25

 Sources: LCD Credit Analysis, News Reports, CreditSights

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IV. Ducera Partners Overview

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Ducera Partners Overview

Full-service investment banking and strategic advisory firm

Advisory Verticals

- *Mergers & Acquisitions and Strategic Advisory*
- *Capital Structure Advisory*
- *Capital Solutions*

Key Facts

Founded in *2015*

13 Partners and *60+* total Investment Bankers

100% Partners-owned

$850bn+ deal volume to date

30+ year advisory track record

100% focused on driving exceptional outcomes for our clients

Landmark Transactions

M&A	Restructuring	Liability Management	Financing

For every client we commit to being:

Experienced
Reliable
Focused
Practical
Detailed
Tenacious

The Fiery Ones

Bold
Seasoned
Attentive
Creative
Collaborative
Entrepreneurial
Industrious
Trusted

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Ducera Partners Principles

For nearly three decades, our leadership team has been advising on many of the most relevant corporate finance transactions in the industry. We are known for developing and maintaining close relationships with decision makers because of the results we provide and the business principles our senior leadership follows.

Client-Centric

We always put our **clients' interest first**; our success is directly aligned with the success of our clients.

Trusted

The relationships that we have with our clients are integral to our work; **advice** and **trust** go hand in hand.

Authentic

As business owners ourselves, our clients know that we advise from a place of **insight** and **action**. Nothing is theoretical – we know because we have been there.

Agile

We consider all variables, playing out multiple scenarios simultaneously, to design the best **solution** for our clients. We don't accept the status quo or the easier path.

Bold

We bring **strength** and **experience** in the face of difficult and transformational events. When times are the toughest, we are fully prepared so our clients can move ahead with confidence

Simplification

We do the heavy lifting so our clients don't have to worry; we **simplify** the complex.

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Ducera Partners Advisory Verticals

As **business owners ourselves**, our clients know that we advise from a place of **insight** and **action**. **Nothing is theoretical**—we know because we've been there.

Ducera advises clients on their most strategic transformative transactions.
Our professionals, with roots in complex corporate finance, offer independent advice to companies and stakeholders in a broad range of situations.

Ducera provides clients with leading-edge capital structure and restructuring advice.
We have pioneered a number of the most innovative transactions in various industries in transition. Both in and out of court, our team's highly collaborative approach is unparalleled.

We are the ones top decision-makers seek out

Ducera advises clients on liability management ("LM") transactions related to companies' capital structures and other off balance sheet liabilities.
We develop creative transaction structures that proactively address stressed balance sheets, the need for growth capital, and maximize value.

Ducera advises companies and other issuers as they navigate the complexities of the capital markets.
Clients rely on our depth of experience to fully assess all available options. We tap into our vast network to help clients efficiently achieve their objectives. Years of experience and global connectivity make us a preferred choice for clients' capital solutions.

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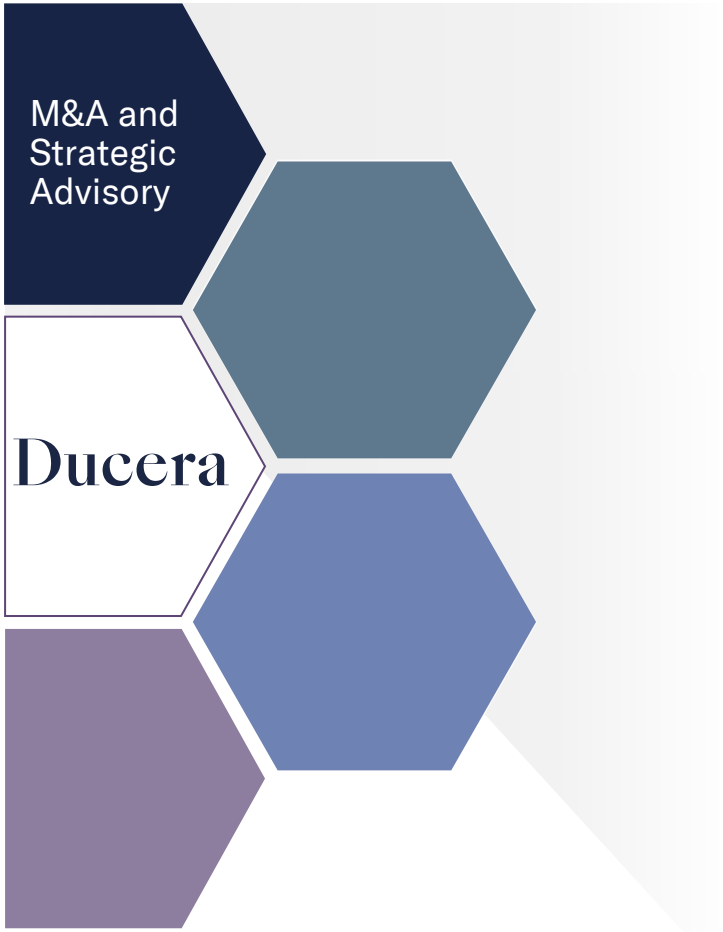
Ducera Partners – M&A and Strategic Advisory

As **business owners ourselves**, our clients know that we advise from a place of **insight** and **action**. **Nothing is theoretical**—we know because we've been there.



Sell-Side Advisory

- *Broad **sector experience***
- *Founder / family-owned, privately held and public company advisory*
- *Carve-outs, structured and staged sale transactions*
- *Successfully **positioning storied companies** / navigating complex dynamics*

Buy-Side Advisory

- *Broad sector experience*
- *Public and private targets*
- ***Creative solutions** to navigate complexity and structure transactions*
- *Private Capital Advisory expertise for creative acquisition financing*

Other M&A Advisory Roles

- *Fairness opinions*
- *Special committee assignments*
- *Stakeholder, minority shareholder, **management team advisory***
- *Navigating pre- and post-reorganization M&A dynamics*
- *Takeover defense and shareholder advisory*

Strategic Advisory

- *Ongoing evaluation of business plan / **strategic positioning** ahead of future transactions*
- *Review of business / assets portfolios and opportunities for non-core holdings*
- ***Unconflicted evaluation** of sale vs IPO alternatives*
- *Cross-border and complex situations advisory*

Risk Advisory

- *Assessment and evaluation of historical, current, and potential contingent liabilities, including litigation, environmental, IP, and other off-balance sheet risks*
- *Development and **execution of actionable strategies** to proactively mitigate exposures to these risks and liabilities to maximize shareholder value*

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Ducera Partners – Restructuring Advisory

As **business owners ourselves**, our clients know that we advise from a place of **insight** and **action**. **Nothing is theoretical**—we know because we've been there.

Restructuring Advisory

- *Debtor & Creditor side advisory in both consensual and contested situations*
- *363 Sales, pre-packaged, pre-arranged, and traditional chapter 11 restructurings*
- *Out-of-court recapitalizations and reorganizations*
- *Successfully **facilitating novel solutions that maximize value for our clients***

Liability Management

- ***Developing creative transactions** and bespoke new money solutions that address stressed balance sheet situations*
- ***Protecting clients** through position enhancing and consensual LM transactions*
- *Delivering expertise that **maximizes both game theory principles and leverage for our clients** across a variety of transactions, including consent solicitations, exchange offers, amend & extends, drop-downs, tender offers, and open market repurchases*
- *Pension and OPEB liability advisory*

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Ducera Partners – Capital Solutions Advisory

Debt Capital

- *Expertise in private credit and direct lending markets*
- *Navigating broadly syndicated loan and high yield markets*
- *Structuring expertise to achieve tailored capital needs*

Equity Capital

- *Delivering capital solutions throughout multiple stages of a company's lifecycle*
- *Variety of expertise, including common, preferred and hybrid equity*
- *Pre-IPO and IPO advisory services including company preparedness, planning, underwriter selection and execution support*

M&A

- *Expert advisory in arranging capital alongside buyside engagements*
- *Lender education / shadow staple arrangements to support sell-side mandates*
- *Capital structure analysis and assessment to guide M&A strategy*

Bespoke Solutions

- *Arranging novel or highly structured financing solutions*
- *Advisory services to state and governmental agencies navigating complex regulatory environments*
- *Litigation finance, securitizations, captive insurance funding, NAV loans, etc.*

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Ducera Contacts

Name	Title	Office	Email	Phone
Michael Kramer	Partner, CEO	New York	mkramer@ducerapartners.com	(212) 671-9750
John Vaske	Partner, Vice Chairman	New York	jvaske@ducerapartners.com	(212) 516-2221
Mark Davis	Partner	Los Angeles	mdavis@ducerapartners.com	(212) 671-9707
Patrick Dowling	Partner / COO	New York	pdowling@ducerapartners.com	(212) 671-9734
Michael Feinberg	Partner / GC	New York	mfeinberg@ducerapartners.com	(212) 671-9716
Mike Genereux	Partner	New York	mgenereux@ducerapartners.com	(212) 671-9710
Christopher Grubb	Partner	San Francisco	cgrubb@ducerapartners.com	(415) 426-1705
Cody Leung Kaldenberg	Partner	New York	ckaldenberg@ducerapartners.com	(212) 671-9780
Bradley Robins	Partner	New York	brobins@ducerapartners.com	(212) 671-9709
Joshua Scherer	Partner	New York	jscherer@ducerapartners.com	(212) 671-9771
Jay K. Sinha	Partner	New York	jsinha@ducerapartners.com	(212) 671-9708
Derron Slonecker	Partner	New York	dslonecker@ducerapartners.com	(212) 671-9777
Agnes Tang	Partner	New York	atang@ducerapartners.com	(212) 671-9738
Emily Katz-Turner	Managing Director / Legal Analyst	New York	ekatz-turner@ducerapartners.com	(212) 671-9728
Jason Koh	Managing Director	New York	jkoh@ducerapartners.com	(212) 671-9715
Andre Kursancew	Managing Director	New York	akursancew@ducerapartners.com	(212) 516-4214
Joe Leone	Managing Director	New York	jleone@ducerapartners.com	(212) 671-9773
Sean Monaghan	Managing Director	New York	smonaghan@ducerapartners.com	(212) 671-9775
Eli Silverman	Managing Director	Los Angeles	esilverman@ducerapartners.com	(646) 897-7857
Nick Vadino	Managing Director	New York	nvadino@ducerapartners.com	(212)-671-9756
Andrew Vogt	Managing Director	San Francisco	avogt@ducerapartners.com	(858) 344-1640
David Zubricki	Managing Director	New York	dzubricki@ducerapartners.com	(212) 671-9717

New York	Los Angeles	San Francisco
11 Times Square Floor 36 New York, NY 10036	2121 Avenue of the Stars Suite 2980 Los Angeles, CA 90067	44 Montgomery Street Suite 1480 San Francisco, CA 94104

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Cary Street Partners Strategic Partnership

CARY STREET PARTNERS

- Founded in 2002 and headquartered in Richmond, VA, Cary Street Partners is a leading independent wealth manager that offers a comprehensive suite of services to its clients. As of YE2025, Cary Street Partners has reached $12bn AUM
- Ducera has invested in and maintains a strategic partnership with Cary Street Partners since 2019

Service Offerings
Independent Research
Economic Insights
Hybrid RIA
70+ Financial Advisors
20 Offices across the southern & mid-Atlantic regions
https://carystreetpartners.com/
Joseph R. Schmuckler, CEO
Matthew L. Rubin, CIO

	Comprehensive Wealth Management
✓	Financial Planning
✓	Investment Management
✓	Research & Portfolio Advisory Services
✓	Data Aggregation
✓	Estate & Life Insurance Strategies
✓	Performance Reporting
✓	Corporate Benefits & Retirement Planning
✓	Diversified Model-Based Asset Management

 Sources: Cary Street Investor Presentation, Company Website

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Fixed income investments have several other asset-class specific risks. Inflation risk reduces the real value of such investments, as purchasing power declines on nominal dollars that are received as principal and interest. Interest rate risk comes from a rise in interest rates that causes a fixed income security to decline in price in order to make the market price-based yield competitive with the prevailing interest rate climate. Fixed income securities are also at risk of issuer default or the markets' perception that default risk has increased.

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Cary Street Partners Footnotes (cont'd)

Comparative Index Descriptions: Historical performance results for investment indices have been provided for general comparison purposes only, and generally do not reflect the deduction of transaction or custodial charges, the deduction of an investment management fee, nor the impact of taxes, the incurrence of which would have the effect of decreasing historical performance results. It should not be assumed that your account holdings do or will correspond directly to any comparative indices. An investor cannot invest directly in the indices shown, and accurate mirroring of the indices is not possible.

The Standard & Poor's (S&P) 500 Index is an index of 500 stocks seen as a leading indicator of U.S. equities and a reflection of the performance of the large cap universe, made up of companies selected by economists. The S&P 500 is a market value weighted index and one of the common benchmarks for the U.S. stock market.

The Russell 1000® Growth Index measures the performance of the largecap growth segment of the U.S. equity universe. It includes those Russell 1000 companies with relatively higher price-to-book ratios, higher I/B/E/S forecast medium term (2 year) growth and higher sales per share historical growth (5 years). The Russell 1000® Growth Index is constructed to provide a comprehensive and unbiased barometer for the large-cap growth segment. The index is completely reconstituted annually to ensure new and growing equities are included and that the represented companies continue to reflect growth characteristics.

The MSCI EAFE Index is a stock market index that measures the performance of large- and mid-cap companies across 21 developed markets countries around the world. Canada and the USA are not included. EAFE is an acronym that stands for Europe, Australasia, and the Far East.

The MSCI Emerging Markets is a global stock market index that tracks the performance of large and mid-cap companies across 24 emerging markets. It is maintained by MSCI, formerly Morgan Stanley Capital International, and is used as a common benchmark for global emerging market stock funds.

The Nasdaq-100 Index is a "modified capitalization-weighted" index designed to track the performance of a market consisting of the 100 largest and most actively traded non-financial domestic and international securities listed on The Nasdaq Stock Market, based on market capitalization.

The Bloomberg Barclays U.S. Aggregate Bond Index (U.S. Agg Bond) is a market capitalization weighted index, meaning the securities in the index are weighted according to the market size of each bond type. Most U.S. traded investment grade bonds are represented. Municipal bonds and Treasury Inflation-Protected Securities are excluded due to tax treatment issues. The index includes Treasury securities, Government agency bonds, mortgage-backed bonds, corporate bonds, and a small number of foreign bonds traded in the U.S.

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